

Comprehensive Annual Financial Report

Pleasant Valley Community School District

Bettendorf, Iowa



For the Fiscal Year Ended June 30, 2018

Comprehensive Annual Financial Report of the
Pleasant Valley Community School District
Bettendorf, Iowa
For the Fiscal Year Ended June 30, 2018

Official Issuing Report

Mike Clingingsmith, Chief Financial Officer

Office Issuing Report

Administration Center

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December 17, 2018

Members of the Board of Education and Residents of
Pleasant Valley Community School District

We are pleased to submit the Comprehensive Annual Financial Report (CAFR) for the Pleasant Valley Community School District, (the District) for the fiscal year ending June 30, 2018. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials (ASBO) International and the Government Finance Officers Association (GFOA) of the United States and Canada.

The Comprehensive Annual Financial Report is presented in four sections: Introductory, Financial, Statistical and Compliance. The Introductory Section includes this transmittal letter, the District's organizational chart, a list of District officials, the Certificate of Achievement for Excellence in Financial Reporting for the fiscal year ended June 30, 2017 from the Government Finance Officers Association (GFOA) of the United States and Canada and the Certificate of Excellence in Financial Reporting for the fiscal year ended June 30, 2017 from the Association of School Business Officials (ASBO) International.

The Financial Section includes the Independent Auditor's Report, Management's Discussion and Analysis, audited basic financial statements, required supplementary information and combining and individual fund statements and schedules.

The Statistical Section includes selected unaudited financial and demographic information, generally presented on a multi-year basis.

The District was required to undergo a single audit in conformity with the provisions of the Single Audit Act Amendments of 1996 and U.S. office of Management and Budget Circular A-133, *Audits of State and Local Governments and Nonprofit Organizations*. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plan are included in the Compliance Section of this report.

This letter of transmittal is designed to complement the Management's Discussion and Analysis included within the financial section of the CAFR and should be read in conjunction with it.

Management Responsibility

Responsibility for both the accuracy of the data and the completeness and fairness of the presentation, including all disclosures, rests with the District. To the best of our knowledge and belief, the enclosed information is fairly stated in all material respects and is presented in a manner which sets forth the financial position and results of operations of the various funds of the District in accordance with generally accepted accounting principles, (GAAP). It includes the all District funds. The District is not included in any other reporting entity, nor are any other entities included within this report. All disclosures necessary to enable a reader to gain maximum understanding of the District's financial activities have been included.

Basis of Accounting and Accounting System

The District's accounting records for general operations are maintained on a modified accrual basis, with the revenue being accrued when available and measurable. Expenditures are recorded when the services or goods are received and the liabilities are incurred. Accounting records for the District's nutrition program and internal service fund are maintained on the accrual basis. All of the District's funds are presented in this report and have been audited by the District's independent certified public accountants, Bohnsack & Frommelt LLP, Certified Public Accountants. Bohnsack & Frommelt LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the Pleasant Valley Community School District's financial statements for the year ended June 30, 2018. The independent auditor's report is located at the front of the financial section of this report.

The chart of accounts used by the District is in conformance with the revised Uniform Accounting System for Iowa Schools and Area Education Agencies 2009 Edition. The chart of accounts manual is updated on an annual basis.

In developing and evaluating the accounting system of the school District, much consideration is given to the adequacy of internal accounting controls. Internal accounting controls are designed to provide reasonable, but not absolute, assurance regarding: (1) the safeguarding of assets against loss from unauthorized use or disposition; and (2) the reliability of financial records for preparing financial statements and maintaining accountability for assets. The concept of reasonable assurance recognized that: (1) the cost of a control should not exceed the benefits likely to be derived; and (2) the evaluation of costs and benefits requires estimates and judgments by management.

All internal control evaluations occur within the above framework. We believe that the internal accounting controls of the school District adequately safeguard assets and provide reasonable assurance of proper recording of financial transactions.

As a recipient of federal, state and local financial assistance, the District is also responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. As part of the District's single audit, described earlier, tests are made to determine the adequacy of internal control, including that portion related to federal awards programs, as well as to determine that the District has complied with applicable laws and regulations.

Profile of the District

Located in the Iowa portion of the Quad City Metropolitan area of eastern Iowa and western Illinois, the Pleasant Valley Community School District serves the education needs of approximately 5,000 students in preschool through twelfth grade. The District has five pre-Kindergarten-6th grade elementary schools, one 7th-8th grade junior high, and one 9th-12th grade high school. There are no charter school relationships within the District. All buildings are air-conditioned and equipped with state of the art technology. The District was organized in 1962 and encompasses 44 square miles of eastern Scott County including the towns of LeClaire, Panorama Park, Riverdale, the village of Pleasant Valley and over one half of the City of Bettendorf. Within its borders is found a rich blend of urban, rural, suburban and small town living. The economic makeup of the district includes some of the richest farmland in the nation in concert with exceptional commercial and industrial enterprises. The school district serves as the focal point for the total community since it is the one institution that cuts across the political, social, and economic boundaries and provides a common interest. As a result, community involvement in education is high at all levels.

The District is supported financially by state aid, property taxes, state and federal grants for special projects and local revenue. The District is governed by a seven-member board of education, serving staggered terms of four years. The District is divided into seven geographical director districts. Each member of the school board serves a particular geographical director district. The Board of Directors is a

policy-making and planning body whose decisions are carried out by school administrators. The District is subject to the general oversight of the Iowa Department of Education. This oversight generally includes an approval process that reviews compliance to standards enacted by legislative mandate.

The combined financial statements include all funds, organizations, agencies, boards, commissions and other authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The criteria considered in determining financial accountability include appointing a voting majority of an organization's governing body, and 1) the ability of the District to impose its will on that organization or 2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on the District.

The District provides a full range of educational services for those attending the Pleasant Valley Community School District including basic, regular and enriched academic education, specialized instruction for handicapped children, vocational education and many individualized programs such as specialized instruction for students at-risk.

Local Economy

The Quad Cities is a six-county, bi-state region comprised of Clinton, Muscatine, and Scott Counties in Iowa, and Henry, Mercer, and Rock Island Counties in Illinois, which includes the Davenport-Moline-Rock Island IA-IL msa; the Clinton, IA msa, and the Muscatine, IA msa. Located 2 1/2 hours west of Chicago and within a 300 mile radius of 37 million people, the Quad Cities region is home to Fortune 500 corporations such as John Deere & Company, 3M and Arconic, along with the Rock Island Arsenal, a major military installation. These chief employers are joined by 30,000 additional businesses, creating a robust and growing economy. The Arconic aluminum manufacturing plant is located within the boundaries of the Pleasant Valley Community School District and employs approximately 2,194 employees. The Quad Cities is a vibrant community with a labor force of 588,000 people. A network of over 40 colleges and universities within a 90-mile radius provides companies with a pool of highly skilled and educated workers to draw from. The region is a manufacturing, technology and logistics hub that offers big-city amenities plus a low cost of living, high-quality schools, short commute times, and a technically skilled labor pool. The region also provides convenient transportation to major Midwest markets.

Debt Administration

As of June 30, 2018 the District had \$25,918,838 of debt applicable to its legal debt margin. This amount is well below the District's bonding capacity of \$83,789,971.

Long-term Financial Planning and Relevant Financial Policies

Financial Policies

The District invests in only those securities allowed by the Code of Iowa, Chapter 12C. The District's cash and pooled investments consist of depository accounts at financial institutions including short-term nonnegotiable certificate of deposits. The cash balances of the District's funds are pooled. Interest revenue of \$215,621 was earned on all deposits and investments for the fiscal year ending June 30, 2018.

The District currently covers property and liability losses with traditional insurance coverage. The group health plan is partially self-funded and dental plan is fully self-funded.

A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program and funding source.

Budgeting

The District's Board of Education annually adopts a budget and approves the related appropriations for the General, Special Revenue, Debt Service, Capital Projects and Enterprise Funds in accordance with provisions outlined in the statutes of the State of Iowa. The budgets are prepared on an accrual basis, which details estimates of GAAP revenues and GAAP expenditures, and use of beginning fund balances, whereas the financial statements of the funds are prepared on either the modified accrual basis or accrual basis of accounting. A statement comparing the budget to actual receipts and disbursements is included in the required supplemental information in aggregate form for fund types for which budgets are required. For management control, the budget is reviewed on a line item basis. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund or fund type.

It should be noted that school districts have two levels of budgetary control. One form of budgetary control exists through the certified budget, which includes all fund of the District (the type of budget explained in the preceding paragraph). This budget is certified with the County Auditor and the Iowa Department of Management each year. Iowa school districts may not certify a general fund budget in excess of its spending authority.

The other level of budgetary control is the unspent (maximum) authorized budget and pertains only to the General Fund of the District. The maximum authorized budget is the total spending authority in the General Fund of the District. The unspent budget is a budgetary concept and is not equivalent to General Fund cash. It is imperative for users of District financial information to make this important distinction. The unspent balance is the amount of spending authority that is carried over into the next fiscal year. The unspent balance is a budgetary carryover and does not represent actual dollars (General Fund cash) or actual financial position (nonspendable, restricted, assigned or unassigned General Fund fund balance) of the District.

Enrollment Projections

The Pleasant Valley Community School District currently serves approximately 5,000 students. The District continues to experience significant annual growth with an approximately 176 student increase in certified enrollment in the 2017-18 fiscal year. The District has experienced an average annual growth in certified enrollment of 141.9 students per year for the last decade from the 2008-09 school year through the 2017-18 school year. The District is expected to see continued growth in enrollment. This continued growth presents infrastructure challenges that are being addressed through the District's long range planning process.

Major Initiatives and Achievements

An important element in maintaining an excellent educational program is the management of fiscal and capital resources. The District's use of a long-range planning process, a growing enrollment and an increasing property tax base have helped to achieve and maintain the following results:

- Salary and benefit schedules that attract and retain a high quality faculty and staff
- Excellent facilities and equipment maintained and updated on an ongoing basis
- Broad community support for bond referendums, Instructional Support Levy, local option sales tax for school infrastructure and voted Physical Plant and Equipment Levy (PPEL)

The District has 340 certified teachers under contract in the District. 64% of the teachers have a master's degree and / or graduate hours beyond their master's. The development of life-long learners is a key strategic goal. The District models this expectation in the selection, professional development, and retention of its faculty and staff. Supporting the belief that quality teaching is the single most important variable a District can influence. The District provides:

- A rigorous two-year mentoring program for all beginning teachers
- Ongoing professional development
- An emphasis on the study and acquisition of "best practice" in the field of education

Following is the Pleasant Valley Community School District's Mission Statement:

The mission of the Pleasant Valley Community School District as a premier innovative district in the Midwest is to prepare students to succeed in a diverse, global society by providing superior quality opportunities in a safe environment for each student to become a life-long learner and by continuously improving and customizing the educational experience.

The Pleasant Valley Community School District's Guiding Vision is:

Pleasant Valley Community School District will have the finest academic and extra-curricular programs in the state. Not in some things but in everything. Not for some kids but for every kid.

The District is proud of its academic, activities and athletics programs, which includes the following highlights from the 2017-18 school year:

Academics:

- Breaking Barrier Award, honoring Riverdale Heights for the fourth time in four years, for its work with English Language Learners (ELL), who are students whose native language is not English. Eighty-two percent of ELL students at Riverdale Heights are proficient in reading and math, compared to a statewide average of 50 percent among ELL students.
- Breaking Barriers Award, honoring PVHS for its work with African American students. Eighty-nine percent of African American students at PVHS are proficient in reading and math, compared to a statewide average of 54 percent.
- Iowa Report Card: ○ Exceptional Schools: Hopewell, Pleasant Valley Junior High
- High Performing Schools: Bridgeview, Pleasant View, Riverdale Heights, Pleasant Valley High School
- AP District Honor Roll - PVHS (1 of 3 schools in Iowa)
- Project Lead the Way (PLTW) Distinguished High School (1 of 4 schools in Iowa)
- US News & World Report National Silver Medal Award for Best High School in Iowa

- Bank Iowa Traveling Challenge Cup Runner-up as Best Overall School in Iowa for Academic Excellence and Outstanding achievement during athletic, music, speech, and debate competitions.

Activities:

- Band ○ 848 band members in grades 6-12 (most in school history) ○ 10 students received All-State Band Honors ○ 48 Division I ratings (most in MAC) with 2 of 6 “Best in Center” awards at the IHSMA state festivals. ○ 64 students accepted for 5 prestigious honor bands
- Choir ○ 545 choir members in grades 6-12. ○ 18 choir students in the Iowa All-State Chorus and 3 students in the Iowa All-State Jazz Choir. ○ 17 students in the North Central ACDA Honor Choirs (most represented school in the state) ○ 45 students accepted to the ICDA Opus Honor in grades 5-9, our highest number of all time, and the 2nd highest in the state. ○ Leading Tones selected to the Iowa Vocal Jazz Championships, placing 2nd in 4A Jazz Choirs ○ 5 Large Group Division I’s, 51 Solo & Ensemble Division I’s, and 6 “Best of Center” awards
- Drama ○ Approximately 300 participants in grades 7-12 and 100+ participants in grades K-6 ○ 3 groups selected for All-State Large Group Speech: Group Improvisation, One Act Play, Ensemble Acting ○ 3 students selected for All-State Individual Events: Improvisational Acting, Poetry, Radio News Broadcasting ○ Numerous Division I ratings at state large group and individual contests ○ 1 student selected to Iowa Thespian Chapter (State) Board 7 ○ 3rd place Group Improvisation at Iowa Thespian Festival ○ Chapter Select One Act (Performance at both Iowa Thespian Festival and International Thespian Festival) ○ Three Superior ratings on individual events at Iowa Thespian Festival and International Thespian Festival (2 Solo Musical Theatre & 1 Costume Construction) ○ 2017-2018 Productions: Junior High: Oh, What a Tangled Web and Mary Poppins, Jr. High School: The Drowsy Chaperone (Iowa High School Musical Theatre Awards Outstanding Musical Production, Outstanding Student Orchestra, 3 students recognized as Outstanding Performance in a Principal Role and Triple Threat awards, Special Recognition for Ensemble, 4 students Special Recognition for Performance in a Principal Role), Little Red Robin Hood (Children’s theatre production with workshops), Spartan Showcase (both Large Group and Individual Events), 2 Improvisational Comedy nights (Fall and Spring), Rosencrantz and Guildenstern are Dead, Scapino!, Win, Lose, or DIE! (audience participation murder mystery comedy), James and the Giant Peach, Jr. (Spartan Summer Theatre)
- Orchestra ○ 393 participants (120 - 4th grade, 88 - 5th grade, 41 - 6th grade, 76 - junior high, 68 - high school) ○ 8 students were selected to the Iowa All-State Orchestra ○ 11 junior high and 5 high school students were selected to the Iowa String Teachers Association Honors Orchestra ○ 13 elementary, 12 junior high and 8 high school students were selected to the South East Iowa String Teachers Association Honors Orchestra

Athletics:

- MAC Champs ○ Boys Golf ○ Boys Cross Country ○ Boys Basketball ○ Boys Soccer ○ Boys Tennis ○ Volleyball ○ Girls Basketball ○ Girls Tennis ○ Girls Track and Field ○ Girls Soccer ○ Softball
- State Participants ○ Boys & Girls Cross Country ○ Boys Swimming ○ Girls Swimming & Diving ○ Boys & Girls Tennis ○ Boys & Girls Track and Field ○ Boys Golf - Individual Qualifier ○ Girls Golf - Individual Qualifier ○ Wrestling - Individual Qualifier ○ Girls Soccer ○ Softball ○ Platinum Dance
- State Champions ○ Boys Cross Country ○ Platinum Team (Pom) ○ Softball
- PVCSD Team with Cumulative 3.0 GPA or Higher (IHSAA/IGHSAU) ○ Baseball, Boys Basketball, Boys Cross Country, Football, Boys Golf, Boys Soccer, Boys Swimming, Boys Tennis, Boys Track, Boys Bowling, Wrestling, Girls Basketball, Girls Bowling, Girls Cross Country, Girls Golf, Girls Soccer, Softball, Girls Swimming & Diving, Girls Tennis, Girls Track, and Volleyball, Football Cheerleading, Basketball Cheerleading, Wrestling Cheerleading, and Platinum Dance

Economic Condition and Outlook

The District is located in the eastern part of the state of Iowa, within the Quad Cities metropolitan area. The economic condition and outlook of the District have remained relatively strong during the past several years, and as a result, the District has experienced significant growth over the past several years. This growth has had a positive effect on employment and the District's tax base. The District has averaged a 6.4% annual increase in taxable valuations over the past ten years. In the 2017-18 fiscal year, the increase was 4.8%. The District also expects continued enrollment growth for the foreseeable future.

The District's solvency ratio at June 30, 2018 is 11.9%, down from 12.3% at June 30, 2017. The District's goal is to have a solvency ratio between 5% and 15%.

The Iowa school funding formula is a complex formula that is pupil driven and increasing total spending authority occurs by increasing the number of pupils or increasing the cost per pupil. Certified enrollment for the District continues to increase. The district cost per pupil for 2017-2018 was \$6,797 and the cost per pupil for 2018-19 is \$6,864.

In recent years, the state of Iowa has faced an economic downturn that severely hampered its ability to fund schools at the same level as in prior years. The District has faced inadequate funding for state aid and other state-funded programs, and this has resulted in lower supplemental state aid. The supplemental state aid has been complimented with increased enrollment allowing the District to not need to make budget cuts in recent years.

Independent Audit

The Code of the State of Iowa requires an annual audit of the District to be performed by an accounting firm selected in a competitively bid process. The annual audit meets the requirements of the Code of Iowa, generally accepted auditing standards and the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). The auditor's report on the general purpose financial statements and combining individual fund statements is included in the financial section of this report. The auditor's reports related specifically to the single audit are included in a separate section for the internal controls and compliance.

Certificate of Achievement for Excellence in Financial Reporting

This submission is the District's third consecutive submission to the Government Finance Officers Association of the United States and Canada (GFOA) for a Certificate of Achievement for Excellence in Financial Reporting, and the Association of School Business Officials (ASBO) International for a Certificate of Excellence in Financial Reporting for its Comprehensive Annual Financial Report for the fiscal year ended June 30, 2018. In order to be awarded the Certificates, a governmental must publish an easily readable and efficiently organized Comprehensive Annual Financial Report. This report must satisfy both generally accepted accounting principles and applicable legal requirements. The Pleasant Valley Community School District has received both the GFOA Certificate of Achievement for Excellence in Financial Reporting and the ASBO Certificate of Excellence in Financial Reporting in the both the fiscal year ended June 30, 2016 and the fiscal year ended June 30, 2017.

These certificates are valid for a period of one year only. We believe that our current Comprehensive Annual Financial Report meets program requirements for both awards and we are submitting it to ASBO

and GFOA to determine its eligibility for each certificate.

We wish to take this opportunity to thank the administrative office staff who assisted in obtaining and organizing data, our financial auditors, the County Auditor and Treasurer offices and the city and town officials who provided much needed information. Without all of the above groups' efforts, the report could not have been completed.

Finally, sincere appreciation is extended to the Board of Directors, where the commitment to excellence begins. It is with great pride that this year's Comprehensive Annual Financial Report is submitted to the Board of Directors.

Very truly yours,



Mike Clingingsmith
Chief Financial Officer



Dr. James R. Spelhaug
Superintendent

Pleasant Valley Community School District

Board of Education and School District Officials
Year Ended June 30, 2018

Board of Education

For the Period July 1, 2017 to September 25, 2017

Name	Title	Term Expires
Heather Witters	Board President	2017
Jean Dickson	Board Vice President	2017
Christine Cournoyer	Board Member	2017
Scott Isbell	Board Member	2019
Jodi Hoskins	Board Member	2019
Christina Anderson	Board Member	2019
Nikhil Wagle	Board Member	2019

For the Period September 25, 2017 to June 30, 2018

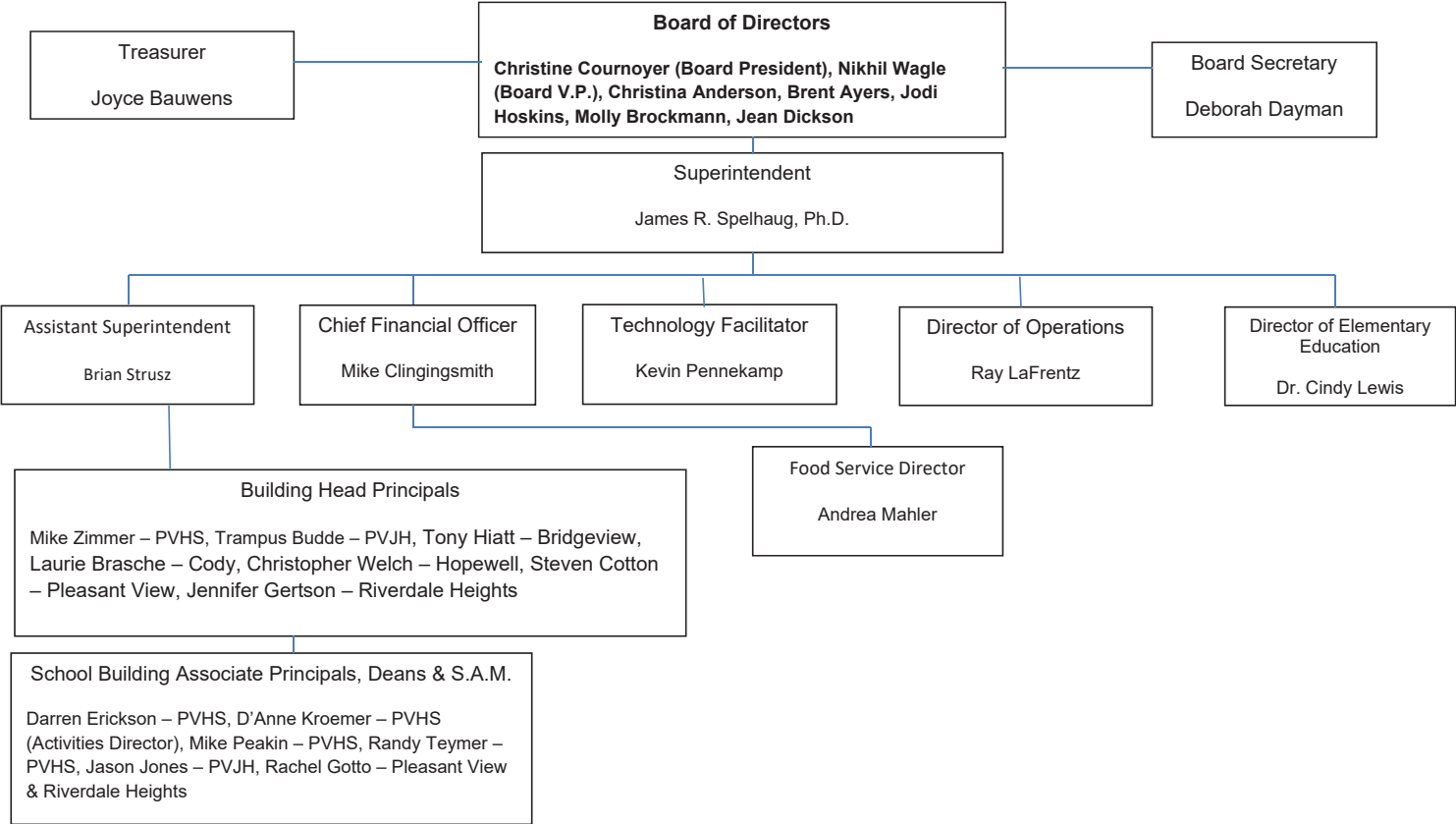
Name	Title	Term Expires
Christine Cournoyer	Board President	2021
Nikhil Wagle	Board Vice President	2019
Brent Ayers	Board Member	2021
Molly Brockmann	Board Member	2019
Jodi Hoskins	Board Member	2019
Christina Anderson	Board Member	2019
Jean Dickson	Board Member	2021

School District Officials

Dr. James R. Spelhaug	Superintendent	2020
Brian Strusz	Assistant Superintendent	2019
Dr. Cindy Lewis	Director of Elementary Education	2019
Mike Clingingsmith	Chief Financial Officer	2019
Deborah Dayman	District Secretary	2018
Joyce E. Bauwens	District Treasurer	2018
Lane & Waterman	Attorney	Indefinite

PLEASANT VALLEY COMMUNITY SCHOOL DISTRICT

Organizational Chart





Government Finance Officers Association

**Certificate of
Achievement
for Excellence
in Financial
Reporting**

Presented to

**Pleasant Valley Community
School District, Iowa**

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

June 30, 2017

Christopher P. Morill

Executive Director/CEO



**ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL**

**The Certificate of Excellence in Financial Reporting
is presented to**

Pleasant Valley Community School District

**for its Comprehensive Annual Financial Report (CAFR)
for the Fiscal Year Ended June 30, 2017.**

The CAFR has been reviewed and met or exceeded
ASBO International's Certificate of Excellence standards.



Charles E. Peterson, Jr., SFO, RSBA, MBA
President

John D. Musso, CAE
Executive Director



Independent Auditor's Report

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Pleasant Valley Community School District, as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Pleasant Valley Community School District, as of June 30, 2018, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter

As discussed in Note 15 to the basic financial statements, the District implemented Governmental Accounting Standards Board Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*. As a result, the District's net positions for governmental activities and business-type activities has been restated. Our opinions are not modified with respect to this matter.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, schedule of changes in the District's total OPEB liability and related ratios, and schedule of the District's proportionate share of the net pension liability and schedule of District contributions on pages 4-17 and 54-61 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The other supplementary information, as listed in the table of contents, and schedule of expenditures of federal awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, and the other information, including the introductory and statistical sections and are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The other supplementary information, as listed in the table of contents and the schedule of expenditures of federal awards are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information and schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The introductory and statistical sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 13, 2018 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

Moline, Illinois
December 13, 2018

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Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Pleasant Valley Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2018. We encourage readers to consider this information in conjunction with additional information that we have furnished in our transmittal letter and the District's financial statements, which follow:

2017-18 FINANCIAL HIGHLIGHTS

- The District implemented Governmental Accounting Standards Board Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, during the fiscal year ended June 30, 2018. The beginning net position for governmental activities and business-type activities were restated (decreased) by \$423,690 and \$7,748 respectively, to retroactively report the decrease in the OPEB liability as of July 1, 2017. OPEB expense for the fiscal year ended June 30, 2017 were not restated because the information needed to restate those amounts was not available.
- For the year ended June 30, 2018, the District reported an increase of \$2,029,059 in combined total governmental and business-type activities net position from the restated June 30, 2017 combined total governmental and business-type activities net position amount. For the year ended June 30, 2017, the District reported an increase of \$3,875,829 in combined total governmental and business-type activities net position (when comparing the restated June 30, 2017 combined total governmental and business-type activities net position amount to the June 30, 2016 combined total governmental and business-type activities net position amount).
- The District's solvency ratio (Assigned + Unassigned General Fund Balance / Actual General Fund Revenues – AEA Flowthrough) decreased from 12.3% at June 30, 2017 to 11.9% at June 30, 2018.
- The District's certified enrollment (resident headcount) for the 2017-18 fiscal year (taken on October 2, 2017) was 4,922.4, an increase of 176.9 students or 3.7% over the 2016-2017 fiscal year certified enrollment of 4,745.5 (taken on October 3, 2016). The District's certified enrollment for the 2015-16 fiscal year (taken on October 1, 2015) was 4,531.8. Therefore, the District's certified enrollment grew by 213.7 students between the 2015-16 fiscal year and the 2016-17 fiscal year. A District's certified enrollment is used in determining funding through the state foundation formula in the fiscal year immediately after the fiscal year in which the certified enrollment count is actually taken.
- The District's overall property tax levy rate was decreased from \$14.14 (rounded to the nearest penny) per \$1,000 taxable valuation in the 2016-17 fiscal year to \$13.96 (rounded to the nearest penny) per \$1,000 taxable valuation in the 2017-18 fiscal year.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

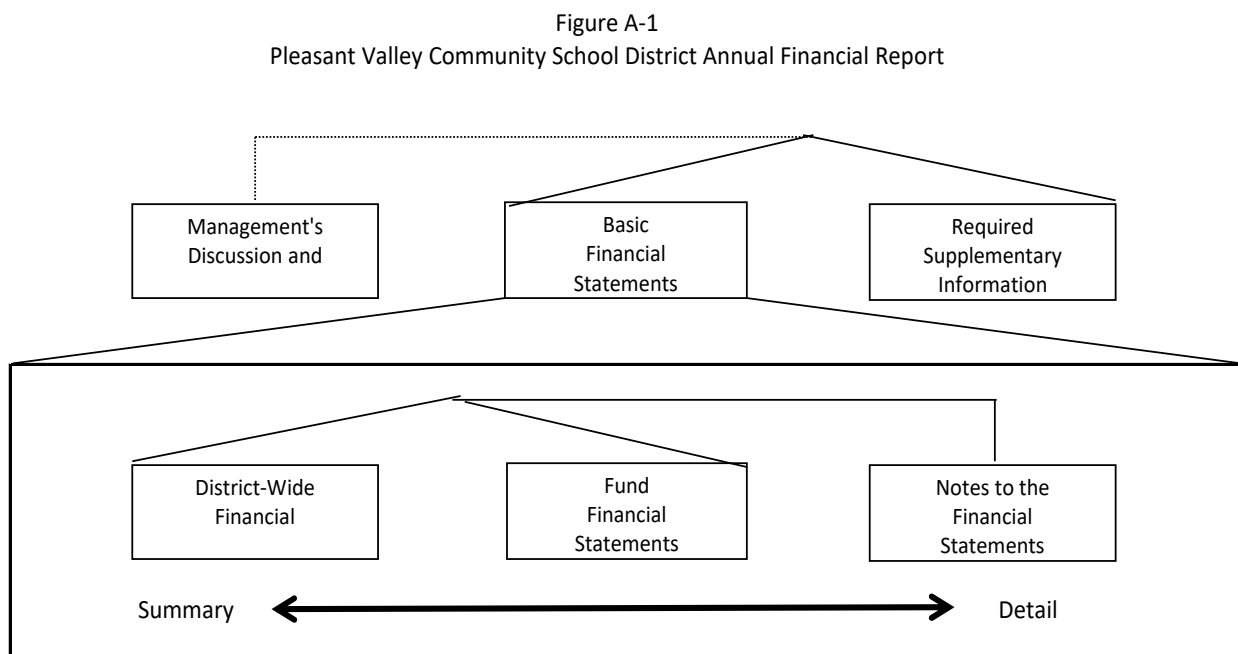
- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Pleasant Valley Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short-term as well as what remains for future spending. Fund financial statements report Pleasant Valley Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Pleasant Valley Community School District acts solely as an agent or custodian for the benefit of those outside of the District.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.
- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year and information regarding the District's retiree health plan and pension plan.
- Other supplementary information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various programs benefitting the District.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.



Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
Government-Wide Statements		Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: school nutrition and internal service fund	Instances in which the District administers resources on behalf of someone else, such as scholarship programs, reunion moneys and funds for District employee purchases of pop, etc.
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset and deferred outflows of resources /liability and deferred inflows of resources information	All assets, deferred outflows of resources and liabilities and deferred inflows of resources, both financial and capital, short-term and long-term	Generally, assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets, deferred outflows of resources and liabilities and deferred inflows of resources, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows and liabilities and deferred inflows – are one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position are an indicator of whether financial position is improving or deteriorating, respectively. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property taxes and state aid finance most of these activities.

Business-type activities: The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

The District has three kinds of funds:

- 1) **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information at the bottom of the governmental funds statements explains the relationship (or differences) between the two statements. The District's major governmental funds for 2017-18 were the General Fund and the Capital Projects Fund. The nonmajor governmental funds include two Special Revenue Funds (the Management Fund and Student Activities Fund) and the Debt Service Fund. The required financial statements for governmental funds include a balance sheet and a statement of revenues, expenditures and changes in fund balances.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

- 2) **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Fund, one type of proprietary fund, is the same as its business-type activities but provides more detail and additional information, such as cash flows. The District currently has one Enterprise Fund, the School Nutrition Fund. The District uses internal service funds, the other kind of proprietary fund, to report activities that provide supplies and services for other District programs and activities. The District currently has one internal service fund, which is used to account for the District's partially self-funded health and fully self-funded dental insurance plans.

The required financial statements for proprietary funds include a statement of net position, a statement of revenues, expenses and changes in net position and a statement of cash flows.

- 3) **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes agency funds.

Agency Funds: These are funds for which the District faculty accounts for certain revenue collected for District employee purchases of pop, funeral flowers, etc. and related expenditures and for revenues and expenditures of other various club accounts.

The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds of the District include a statement of fiduciary assets and liabilities.

Reconciliations between the government-wide financial statements and the fund financial statements follow the fund financial statements.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Government-Wide Financial Analysis

Figure A-3 below provides a summary of the District's net position as of June 30, 2018 compared to June 30, 2017.

Figure A-3 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Restated		Restated		Restated		
	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017	2017-18
Current and other assets	\$ 46,763,032	\$ 48,807,039	\$ 1,588,684	\$ 1,290,057	\$ 48,351,716	\$ 50,097,096	-3.5%
Capital assets	79,782,683	65,693,830	541,660	446,365	80,324,343	66,140,195	21.4%
Total assets	126,545,715	114,500,869	2,130,344	1,736,422	128,676,059	116,237,291	10.7%
Deferred outflows of resources	7,908,911	7,390,344	156,846	207,636	8,065,757	7,597,980	6.2%
Long-term liabilities	49,799,852	41,126,063	591,601	488,889	50,391,453	41,614,952	21.1%
Other liabilities	14,360,859	13,227,872	117,582	103,198	14,478,441	13,331,070	8.6%
Total liabilities	64,160,711	54,353,935	709,183	592,087	64,869,894	54,946,022	18.1%
Deferred inflows of resources	20,767,999	19,755,216	6,597	65,766	20,774,596	19,820,982	4.8%
Net position:							
Net investment in capital assets	53,863,845	48,923,365	541,660	446,365	54,405,505	49,369,730	10.2%
Restricted	6,824,623	8,779,479	17,737	5,189	6,842,360	8,784,668	-22.1%
Unrestricted	(11,162,552)	(9,920,782)	1,012,013	834,651	(10,150,539)	(9,086,131)	11.7%
Total net position	\$ 49,525,916	\$ 47,782,062	\$ 1,571,410	\$ 1,286,205	\$ 51,097,326	\$ 49,068,267	4.1%

The District's combined net position as of June 30, 2018 grew by \$2,029,059 (4.1%) over the restated June 30, 2017 combined net position. Net position in the governmental activities grew by \$1,743,854 (3.7%). The net position of the District's business-type activities increased by \$285,205 (22.2%).

The most significant factors for the increase in net position of the District were the District's continued planned increase in its cash reserve balances in its General Fund to protect itself against potential future cuts in state funding and the significant improvements completed and in progress during the 2017-18 fiscal year at various buildings throughout the District.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position decreased by \$1,942,308 (22.1%) primarily due to decreases in restrictions for school infrastructure.

Unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) decreased by \$1,064,408 (11.7%) primarily due to changes in net pension liability.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Figure A-4 shows the changes in net position for the year ended June 30, 2018 compared to the year ended June 30, 2017.

Figure A-4 Changes in Net Position From Operating Results

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	Not Restated		Not Restated		Not Restated		
	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017	2017-18
Revenues:							
Program revenues:							
Charges for services	\$ 3,577,790	\$ 3,430,151	\$ 1,750,799	\$ 1,664,304	\$ 5,328,589	\$ 5,094,455	4.6%
Operating grants and contributions	6,999,341	6,619,414	629,562	628,697	7,628,903	7,248,111	5.3%
Capital grants and contributions	-	200,000	187,536	-	187,536	200,000	100.0%
General revenues:							
Property taxes	20,941,637	20,169,309	-	-	20,941,637	20,169,309	3.8%
State foundation aid	22,602,674	21,128,076	-	-	22,602,674	21,128,076	7.0%
Unrestricted intergovernmental revenue	4,423,311	4,343,875	-	-	4,423,311	4,343,875	1.8%
Other	1,376,032	1,385,137	13,441	6,713	1,389,473	1,391,850	-0.2%
Total revenues	59,920,785	57,275,962	2,581,338	2,299,714	62,502,123	59,575,676	4.9%
Expenses:							
Instruction	38,739,407	35,265,428	-	-	38,739,407	35,265,428	9.9%
Support services	16,950,726	15,658,059	-	-	16,950,726	15,658,059	8.3%
Noninstructional	23,618	33,911	2,079,277	1,937,243	2,102,895	1,971,154	6.7%
Other	2,680,036	2,373,768	-	-	2,680,036	2,373,768	12.9%
Total expenses	58,393,787	53,331,166	2,079,277	1,937,243	60,473,064	55,268,409	9.4%
Change in net position before transfers	1,526,998	3,944,796	502,061	362,471	2,029,059	4,307,267	-52.9%
Transfers	216,856	30,953	(216,856)	(30,953)	-	-	0.0%
Increase in net position	1,743,854	3,975,749	285,205	331,518	2,029,059	4,307,267	-52.9%
Net position, beginning of year, as restated	47,782,062	44,230,003	1,286,205	962,435	49,068,267	45,192,438	
Net Position, end of year	\$ 49,525,916	\$ 48,205,752	\$ 1,571,410	\$ 1,293,953	\$ 51,097,326	\$ 49,499,705	

In 2017-18, local taxes (property taxes and statewide sales and services tax) and state foundation aid accounted for 80.1% of the revenue from governmental activities while charges for services and grants and contributions accounted for 99.5% of the revenue from business-type activities.

The District's expenses primarily relate to instructional and support services, which account for 92.1% of the total expenses.

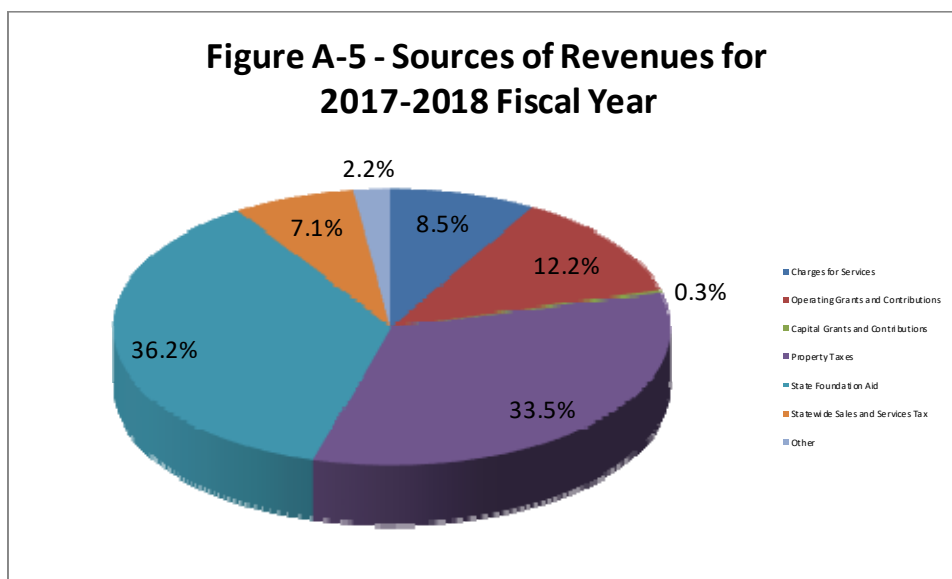
Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Total revenue for the District increased by \$2,926,447 (4.9%) in the fiscal year ended June 30, 2018. The most significant revenue category changes were due to an increase in property taxes, state foundation aid and operating grants and contributions. Property taxes increased by \$772,328 (3.8%) primarily due to an increase in assessed/taxable valuations in the District and the District's increased enrollment.

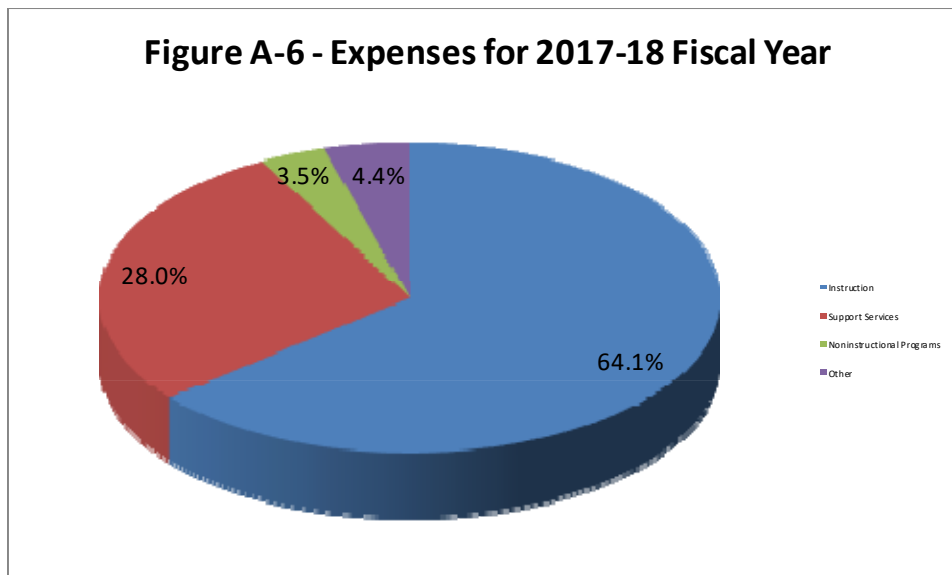
Total District expenses increased by \$5,204,655 (9.4%), primarily because of increases in expenditures for salaries and benefits (as a result of raises given to employees and new hires due to the District's enrollment growth) and an increase in expenditures for building addition and renovation related expenditures.

Figures A-5 and A-6, which follow, show charts reflecting sources of revenue and distribution of expenses for the 2017-18 fiscal year.



Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018



Governmental Activities

Revenue for the District's governmental activities in 2017-18 increased by \$2,644,823 (4.6%) from the previous year, while total expenses in governmental activities increased by \$5,062,621 (9.5%). Governmental activities net position as of June 30, 2018 increased by \$1,743,854 (3.6%) over the June 30, 2017 balance as restated.

Figure A-7 presents the total and net cost of the District's four major governmental activities: instruction, support services, noninstructional programs and other expenses, for the year ended June 30, 2018 compared to the year ended June 30, 2017.

Figure A-7 Net Cost of Governmental Activities

	Total Cost of Services			Net Cost of Services		
	June 30, 2018	June 30, 2017	Change	June 30, 2018	June 30, 2017	Change
Instruction	\$ 38,739,407	\$ 35,265,428	9.85%	\$ 30,303,469	\$ 27,220,361	11.3%
Support services	16,950,726	15,658,059	8.26%	16,865,837	15,355,461	9.8%
Noninstructional	23,618	33,911	-30.35%	23,618	33,911	-30.4%
Other	2,680,036	2,373,768	12.90%	623,732	471,868	0.0%
Total	\$ 58,393,787	\$ 53,331,166	9.49%	\$ 47,816,656	\$ 43,081,601	11.0%

For the year ended June 30, 2018:

- The cost financed by the users of the District's programs was \$3,577,790.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$6,999,341.
- The net cost of governmental activities was financed with \$20,941,637 in property taxes, \$22,602,674 of unrestricted state grants, \$4,423,311 in statewide sales and services tax revenue, \$712,855 in other taxes, \$202,180 in investment earnings, and \$460,997 in miscellaneous revenues.

For the year ended June 30, 2017:

- The cost financed by the users of the District's programs was \$3,430,151.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$6,819,414
- The net cost of governmental activities was financed with \$20,169,309 in property taxes, \$21,128,076 of unrestricted state grants, \$4,343,875 in statewide sales and services tax revenue, \$746,648 in other taxes, \$124,520 in investment earnings, \$513,589 in miscellaneous revenues and \$380 in gain on sale of capital assets.

Business-Type Activities

The District's business-type activities include the School Nutrition Fund. Revenues of the District's business-type activities in 2017-18 were \$2,581,338; an increase of \$281,624 (12.2%) from 2017-18. The increase is primarily due to increases in the price per meal and number of meals served. Other revenues of these activities were comprised of federal and state reimbursements and interest. Expenses were \$2,097,277, an increase of \$142,034 (7.3%) from 2016-17, primarily due to the cost of food service operations in the current year.

Individual Fund Analysis

As previously noted, the Pleasant Valley Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$12,528,164, which reflects a decrease of \$3,480,963 (21.7%) from last year's ending fund balances of \$16,009,127.

The primary reason for the decrease in combined fund balances at the end of the 2017-18 fiscal year is:

- The fund balance in the Statewide Sales Services and Use Tax Capital Projects Account of the Capital Projects Fund decreased by \$4,040,296 (69.6%) during 2017-18 mainly due to large payments made on the Pleasant Valley High School building addition project.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Governmental Fund Highlights

- The fund balance in the District's General Fund increased by \$149,081 (2.3%) from \$6,439,161 as of June 30, 2017 to \$6,588,242 as of June 30, 2018. The General Fund experienced an increase in state sources of revenue primarily due to increased enrollment.
- The fund balance in the Capital Projects Fund decreased by \$3,483,866 (51.6%). The statewide sales, service and use tax generated \$81,627 more in revenue in 2017-18 than in the previous fiscal year. Local tax generated from the physical plant and equipment levy was \$2,798,880 compared to the prior year \$2,662,429 which represents a \$136,451 (5.1%) increase from 2016-17. During the current year, sales tax revenue bonds were issued of \$10,000,000. Total expenditures were \$18,437,692 in 2017-18 compared to \$14,502,254 in 2016-17. In the current year, major expenditures included the building additions for additional classroom space, etc. at Cody Elementary School, Pleasant Valley Junior High, Pleasant Valley High School and other facility improvements.

Proprietary Fund Highlights

The net position of the District's proprietary funds increased during the year.

- The net position of the Nutrition Fund increased by \$285,205 (22.2%) during 2017-18 from the 2016-17 restated net position.
- The net position of the Internal Service Fund increased by \$213,967 (6.6%) during 2017-18. In April 2017, the District changed from a fully self-funded insurance plan to a partially self-funded high deductible plan where the District self-insures between the former deductible amounts and the new high deductible amounts.

Budgetary Highlights

A schedule showing the original and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except blended component units, internal service funds, permanent funds and agency funds. This is referred to as the certified budget. The certified budget may be amended during the year utilizing similar statutorily prescribed procedures. The District uses the GAAP (Generally Accepted Accounting Principles) method of accounting for budgeting purposes. Over the course of the year, the District amended its certified budget one time.

Pleasant Valley Community School District's normal practice is to amend the certified budget one time during each fiscal year. Iowa law requires that actual spending in each functional area of the budget does not exceed the amount budgeted to be spent in that functional area at any time during the fiscal year. The District's practice is to amend the budget each year prior to expenses going over budget in any of the functional areas. The District's practice is also to amend the budget to reflect the entire fund balances in each of the various budgeted funds being spent down to a zero balance at the end of the fiscal year. This is the most significant reason for the amended budget showing \$14,479,373 more in expenditures than the original certified budget for the 2017-18 fiscal year.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

The other main reasons for the differences between the original budget and the amended budget are:

- The budget is amended to reflect additional allowed expenditures due to receipt of other miscellaneous income during the year that was not possible to predict when the certified budget was adopted.

Capital Asset and Debt Administration

Capital Assets

By the end of the 2017-18 fiscal year, the District had invested \$80,324,343 (net of accumulated depreciation of \$42,815,147) in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. (See Figure A-8). This amount represents a net increase of \$14,184,148 or 21.4% from last year. The most significant additions were for building additions in process during 2017-18 at Cody Elementary School, Pleasant Valley Junior High School and Pleasant Valley High School (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation expense for the year was \$2,681,309.

Figure A-8 Capital Assets (Net of Depreciation)

Figure A-8 Capital Assets (Net of Depreciation)

	Governmental Activities		Business-Type Activities		Total School District		Total Percentage Change
	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017	2017-18
Land	\$ 1,360,555	\$ 1,360,555	\$ -	\$ -	\$ 1,360,555	\$ 1,360,555	0.0%
Buildings	46,220,821	38,210,829	-	-	46,220,821	38,210,829	21.0%
Improvements other than buildings	4,196,082	4,504,579	-	-	4,196,082	4,504,579	-6.8%
Furniture and equipment	1,419,316	1,244,740	541,660	446,365	1,960,976	1,691,105	16.0%
Construction in progress	26,585,909	20,373,127	-	-	26,585,909	20,373,127	30.5%
Total	\$ 79,782,683	\$ 65,693,830	\$ 541,660	\$ 446,365	\$ 80,324,343	\$ 66,140,195	21.4%

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

Long-Term Liabilities

As of June 30, 2018, the District had \$25,570,000 in revenue bonds outstanding, \$348,838 in capital lease liability, \$235,657 in early retirement liabilities, \$1,032,053 in total compensated absence liabilities, \$2,185,947 in net OPEB liability, and \$25,314,966 in net pension liability for total outstanding long-term obligations of \$54,687,461 as reflected in Figure A-9 below. More detailed information about the District's long-term liabilities is available in Note 5 to the financial statements.

Figure A-9 Outstanding Long-Term Obligations

	Restated		Restated		Restated		Total
	Governmental Activities		Business-Type Activities		Total School District		Percentage
	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017	June 30, 2018	June 30, 2017	Change
Revenue bonds	\$ 25,570,000	\$ 18,410,000	\$ -	\$ -	\$ 25,570,000	\$ 18,410,000	100.0%
Capital Lease	348,838	-	-	-	348,838	-	100.0%
Early retirement	235,657	81,787	-	-	235,657	81,787	188.1%
Compensated absences	1,032,053	981,884	-	-	1,032,053	981,884	5.1%
Net OPEB liability	2,098,509	1,995,446	87,438	20,156	2,185,947	2,015,602	8.5%
Net pension liability	24,810,803	23,074,733	504,163	468,733	25,314,966	23,543,466	7.5%
Total	\$ 54,095,860	\$ 44,543,850	\$ 591,601	\$ 488,889	\$ 54,687,461	\$ 45,032,739	21.4%

As of June 30, 2017, the District had \$18,410,000 in revenue bonds outstanding, \$81,787 in early retirement liabilities, \$981,884 in total compensated absence liabilities, \$2,015,602 in net OPEB liability (restated), and \$23,543,466 in net pension liability for total outstanding long-term obligations of \$44,601,301.

Payments of early retirement benefits come out of the District's Management Fund. Payments of compensated absences are primarily made from the District's General Fund.

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District continues to experience significant growth. The average annual growth in certified enrollment in the past ten years (2008-09 to 2017-18) has been 141.9 students per year. The District's certified enrollment was up 176.9 students for the 2017-18 fiscal year. The continuing growth has made it necessary for the District to complete several building addition and renovation projects over the past several years and also the District will be receiving bids in December, 2018 for an additional (sixth) elementary school (Forest Grove Elementary School, scheduled to open in the 2021-22 school year). Reserving funds to staff Forest Grove Elementary School will be very important over the next few years. The district issued \$10,000,000 of School Infrastructure Sales, Services and Use Tax Revenue Bonds in December, 2015, October, 2016, and October, 2017 to help finance these projects. The District also issued \$14,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds in September, 2018 and \$17,640,000 General Obligation School Capital Loan Notes (to be repaid with future Voted Physical Plant and Equipment Levy (PPEL) revenue) in October, 2018 to help finance these projects. Additional borrowing may become necessary over the next few years. While this growth has a positive impact, it also brings with it significant challenges in maintaining the District's infrastructure to accommodate this growth in an orderly and efficient manner.

Pleasant Valley Community School District

Management's Discussion and Analysis Year Ended June 30, 2018

- The Iowa Legislature set the supplemental state aid (formerly known as allowable growth) percentage at 1.11% for the 2017-18 fiscal year and 1.00% for the 2018-19 fiscal year. Supplemental state aid has only averaged 1.40% over the past four years. The Iowa Legislature has not yet set the supplemental state aid rate for the 2019-20 fiscal year. As the District's General Fund budget is comprised of approximately 80 percent salary and benefits, wage and salary adjustments arrived at through the District's formal negotiations process will have a significant impact on future budget spending decisions.
- Inadequate state funding and increasing enrollments will continue to put great pressure on District finances to meet the personnel, facility and transportation needs of the District.
- In February 2017, significant legislative changes to Chapter 20 of the Code of Iowa as it relates to formal negotiations were enacted. The impact of these changes on future wage and salary adjustments continues to be studied.
- The economy continues to be a factor that could have consequences for the district in regard to state revenues, property valuations, and enrollment.
- State legislators are expected to take up beginning with their 2019 legislative session the extension of SAVE (Secure an Advanced Vision for Education). If extended for 20 years to 2049, the SAVE tax would provide the District with additional borrowing capacity in the future.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Mike Clingingsmith, Chief Financial Officer, Pleasant Valley Community School District, 525 Belmont Rd., Bettendorf, Iowa 52722.

Pleasant Valley Community School District

Statement of Net Position

June 30, 2018

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and pooled investments	\$ 23,935,850	\$ 1,553,191	\$ 25,489,041
Receivables:			
Property tax:			
Current year	72,843	-	72,843
Succeeding year	20,500,000	-	20,500,000
Accounts	771,147	21	771,168
Due from other governments	1,335,361	-	1,335,361
Inventories	-	24,183	24,183
Prepaid expenses	147,831	11,289	159,120
Capital assets:			
Nondepreciable	27,946,464	-	27,946,464
Depreciable, net	51,836,219	541,660	52,377,879
Total assets	126,545,715	2,130,344	128,676,059
Deferred Outflows of Resources,			
pension related deferred outflows	7,908,911	156,846	8,065,757
Liabilities			
Accounts payable	2,708,786	4,423	2,713,209
Salaries and benefits payable	5,164,725	-	5,164,725
Due to other governments	1,727,664	-	1,727,664
Claims incurred but not reported	143,345	-	143,345
Unearned revenue	320,331	113,159	433,490
Long-term liabilities:			
Portion due within one year:			
Revenue bonds	2,890,000	-	2,890,000
Early retirement	123,046	-	123,046
Capital lease	89,691	-	89,691
Compensated absences	821,513	-	821,513
Portion due after one year:			
Revenue bonds	22,680,000	-	22,680,000
Compensated absences	210,540	-	210,540
Capital lease	259,147	-	259,147
Early retirement	112,611	-	112,611
Net OPEB liability	2,098,509	87,438	2,185,947
Net pension liability	24,810,803	504,163	25,314,966
Total liabilities	64,160,711	709,183	64,869,894
Deferred Inflows of Resources			
Deferred revenue from succeeding year property tax	20,500,000	-	20,500,000
Pension related deferred inflows	214,948	4,387	219,335
OPEB related deferred inflows	53,051	2,210	55,261
Total deferred inflows of resources	20,767,999	6,597	20,774,596
Net Position			
Net investment in capital assets	53,863,845	541,660	54,405,505
Restricted for:			
Categorical funding	662,376	-	662,376
Management levy	2,019,648	-	2,019,648
Physical plant and equipment levy	1,505,933	-	1,505,933
School infrastructure	1,990,415	-	1,990,415
Other special revenue purposes	623,796	-	623,796
Debt service	22,455	-	22,455
Other	-	17,737	17,737
Unrestricted	(11,162,552)	1,012,013	(10,150,539)
Total net position	\$ 49,525,916	\$ 1,571,410	\$ 51,097,326

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Activities

Year Ended June 30, 2018

Functions/Programs	Expenses
Governmental activities:	
Instruction:	
Regular instruction	\$ 29,527,917
Special instruction	4,177,790
Other	5,033,700
	<u>38,739,407</u>
Support services:	
Student services	2,121,430
Instructional staff services	3,749,838
Administration services	5,112,130
Operation and maintenance of plant services	4,032,811
Transportation services	1,934,517
	<u>16,950,726</u>
Noninstructional programs	<u>23,618</u>
Other expenditures:	
Long term debt interest	623,732
AEA flowthrough	2,056,304
	<u>2,680,036</u>
Total governmental activities	<u>58,393,787</u>
Business-type activities:	
Noninstructional programs, food service operations	<u>2,079,277</u>
Total business-type activities	<u>2,079,277</u>
Total	<u>\$ 60,473,064</u>
General revenues:	
Property tax levied for:	
General purposes	
Capital outlay	
Other specific purposes	
Statewide sales and services tax	
Other taxes	
Unrestricted state grants	
Unrestricted investment earnings	
Other	
Total general revenues	
Transfers	
Total general revenues and transfers	
Change in net position	
Net position, beginning of year, as restated	
Net position, end of year	

See Notes to Basic Financial Statements.

Net (Expense) Revenue and Changes in Net Position					
Charges for Services	Program Revenues Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
\$ 2,553,359	\$ 3,962,452	\$ -	\$ (23,012,106)	\$ -	\$ (23,012,106)
-	927,140	-	(3,250,650)	-	(3,250,650)
982,706	10,281	-	(4,040,713)	-	(4,040,713)
3,536,065	4,899,873	-	(30,303,469)	-	(30,303,469)
-	-	-	(2,121,430)	-	(2,121,430)
-	-	-	(3,749,838)	-	(3,749,838)
-	-	-	(5,112,130)	-	(5,112,130)
41,725	-	-	(3,991,086)	-	(3,991,086)
-	43,164	-	(1,891,353)	-	(1,891,353)
41,725	43,164	-	(16,865,837)	-	(16,865,837)
-	-	-	(23,618)	-	(23,618)
-	-	-	(623,732)	-	(623,732)
-	2,056,304	-	-	-	-
-	2,056,304	-	(623,732)	-	(623,732)
3,577,790	6,999,341	-	(47,816,656)	-	(47,816,656)
1,750,799	629,562	187,536	-	488,620	488,620
1,750,799	629,562	187,536	-	488,620	488,620
\$ 5,328,589	\$ 7,628,903	\$ 187,536	(47,816,656)	488,620	(47,328,036)
17,646,598	-	-	-	-	17,646,598
2,705,964	-	-	-	-	2,705,964
589,075	-	-	-	-	589,075
4,423,311	-	-	-	-	4,423,311
712,855	-	-	-	-	712,855
22,602,674	-	-	-	-	22,602,674
202,180	13,441	-	-	-	215,621
460,997	-	-	-	-	460,997
49,343,654	13,441	-	-	-	49,357,095
216,856	(216,856)	-	-	-	-
49,560,510	(203,415)	-	-	-	49,357,095
1,743,854	285,205	-	-	-	2,029,059
47,782,062	1,286,205	-	-	-	49,068,267
\$ 49,525,916	\$ 1,571,410	\$ -	-	-	\$ 51,097,326

Pleasant Valley Community School District

**Balance Sheet
Governmental Funds
June 30, 2018**

	General	Capital Projects	Nonmajor	Total
Assets				
Cash and pooled investments	\$ 13,296,596	\$ 4,921,627	\$ 2,813,870	\$ 21,032,093
Receivables:				
Property tax:				
Current year	61,091	9,709	2,043	72,843
Succeeding year	17,240,000	2,670,000	590,000	20,500,000
Accounts	72,640	585	1,229	74,454
Due from other governments	733,314	602,047	-	1,335,361
Prepaid items	142,536	-	5,295	147,831
Total assets	\$ 31,546,177	\$ 8,203,968	\$ 3,412,437	\$ 43,162,582
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ 617,902	\$ 2,037,620	\$ 38,556	\$ 2,694,078
Salaries and benefits payable	5,151,112	-	13,613	5,164,725
Due to other governments	1,727,664	-	-	1,727,664
Unearned revenue	221,257	-	99,074	320,331
Total liabilities	7,717,935	2,037,620	151,243	9,906,798
Deferred Inflows of Resources:				
Unavailable revenue:				
Succeeding year property tax	17,240,000	2,670,000	590,000	20,500,000
Statewide sales and services tax	-	227,620	-	227,620
Total deferred inflows of resources	17,240,000	2,897,620	590,000	20,727,620
Fund balances:				
Nonspendable	142,536	-	5,295	147,831
Restricted for:				
Categorical funding	662,376	-	-	662,376
Management levy	-	-	2,019,648	2,019,648
Physical plant and equipment levy	-	1,505,933	-	1,505,933
School infrastructure	-	1,762,795	-	1,762,795
Student activity purposes	-	-	623,796	623,796
Debt service	-	-	22,455	22,455
Assigned primarily for transportation	2,313,277	-	-	2,313,277
Unassigned	3,470,053	-	-	3,470,053
Total fund balances	6,588,242	3,268,728	2,671,194	12,528,164
Total liabilities, deferred inflows of resources, and fund balances	\$ 31,546,177	\$ 8,203,968	\$ 3,412,437	\$ 43,162,582

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

**Reconciliation of the Balance Sheet -
Governmental Funds to the Statement of Net Position
June 30, 2018**

Total fund balances of governmental funds \$ 12,528,164

Amounts reported for governmental activities in the Statement of Net Position
are different because:

Capital assets used in governmental activities are not financial resources and, therefore,
are not reported as assets in the governmental funds. 79,782,683

Other long-term assets are not available to pay for current period expenditures and,
therefore, are unavailable in the funds. 227,620

The Internal Service Fund is used to charge costs of the District's self-funded insurance
plan to the governmental funds. The net position of the Internal Service Fund is therefore
included under governmental activities. 3,442,397

Pension and OPEB related deferred outflows of resources and deferred inflows of resources
are not due and payable in the current year and, therefore, are not reported in the
governmental funds, as follows:

Deferred outflows of resources related to pension	7,908,911
Deferred inflows of resources related to pension	(214,948)
Deferred inflows of resources related to OPEB	(53,051)

Long-term liabilities, including bonds payable and compensated absences, are not
due and payable in the current period and, therefore, are not reported as liabilities
in the governmental funds.

Revenue bonds	(25,570,000)
Capital lease	(348,838)
Early retirement	(235,657)
Compensated absences	(1,032,053)
Net OPEB liability	(2,098,509)
Net pension liability	(24,810,803)

Net position of governmental activities

\$ 49,525,916

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds

Year Ended June 30, 2018

	General	Capital Projects	Nonmajor	Total
Revenues:				
Local sources:				
Local tax	\$ 18,244,130	\$ 2,798,880	\$ 611,482	\$ 21,654,492
Tuition	2,163,840	-	-	2,163,840
Other	809,569	102,197	1,064,224	1,975,990
State sources	28,712,964	4,455,388	8,830	33,177,182
Federal sources	927,140	13,918	-	941,058
Total revenues	50,857,643	7,370,383	1,684,536	59,912,562
Expenditures:				
Current:				
Instruction	33,611,409	717,701	1,135,858	35,464,968
Support services:				
Student services	2,062,588	-	3,543	2,066,131
Instructional staff services	3,613,169	-	35,446	3,648,615
Administration services	4,499,663	215,470	35,406	4,750,539
Operation and maintenance of plant services	3,154,151	104,167	232,874	3,491,192
Transportation services	1,738,070	190,000	4,618	1,932,688
	15,067,641	509,637	311,887	15,889,165
Noninstructional programs	623	-	22,995	23,618
Other expenditures:				
Facilities acquisition	-	17,072,274	-	17,072,274
AEA flowthrough	2,056,304	-	-	2,056,304
	2,056,304	17,072,274	-	19,128,578
Debt service:				
Principal	-	-	2,840,000	2,840,000
Interest	-	138,080	485,652	623,732
	-	138,080	3,325,652	3,463,732
Total expenditures	50,735,977	18,437,692	4,796,392	73,970,061
Excess (deficiency) of revenues over (under) expenditures	121,666	(11,067,309)	(3,111,856)	(14,057,499)
Other financing sources (uses):				
Proceeds from sale of capital assets	10,842	-	-	10,842
Issuance of long term debt	-	10,348,838	-	10,348,838
Interfund transfers in	29,319	187,537	2,965,698	3,182,554
Interfund transfers (out)	(12,746)	(2,952,952)	-	(2,965,698)
Total other financing sources (uses)	27,415	7,583,423	2,965,698	10,576,536
Net change in fund balance	149,081	(3,483,886)	(146,158)	(3,480,963)
Fund balances, beginning of year	6,439,161	6,752,614	2,817,352	16,009,127
Fund balances, end of year	\$ 6,588,242	\$ 3,268,728	\$ 2,671,194	\$ 12,528,164

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

**Reconciliation of the Statement of Revenues, Expenditures and Changes in
Fund Balances - Governmental Funds to the Statement of Activities
Year Ended June 30, 2018**

Net change in fund balances - total governmental funds \$ (3,480,963)

Amounts reported for governmental activities in the Statement of
Activities are different because:

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, those costs are not reported in the Statement of Net Position and are allocated over their estimated useful lives as depreciation expense in the Statement of Activities. The amounts of capital outlays and depreciation expense in the year are as follows:

Capital outlay	\$ 16,694,047	
Depreciation expense	(2,581,518)	
Proceeds from sale of capital assets	(10,842)	
Loss on sale of capital asset	(12,834)	14,088,853

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues.

8,223

The increase in net position of the Internal Service Fund represents an overcharge to the governmental funds and is incorporated into the change in net position of governmental activities.

213,967

The issuance of long-term debt provides current financial resources to governmental funds, while the repayments of the principal of long-term debt consumes the current financial resources of governmental funds. The issuance of debt increases liabilities in the Statement of Net Position, while the repayment of long-term debt reduces long-term liabilities. The following is the detail of the net effect of these differences in the treatment of long-term debt and related items:

Issuance of revenue bonds	(10,000,000)
Capital lease	(348,838)

Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds, as follows:

Repayment of bond principal	2,840,000	
Pension expense	(1,217,235)	
Early retirement	(153,870)	
Compensated absences	(50,169)	
Net OPEB liability	(156,114)	1,262,612

Change in net position of governmental activities

\$ 1,743,854

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Net Position

Proprietary Funds

June 30, 2018

	Enterprise Fund School Nutrition	Internal Service Fund
Assets		
Current:		
Cash and cash equivalents	\$ 1,553,191	\$ 2,903,757
Accounts receivable	21	696,693
Inventories	24,183	-
Prepaid expense	11,289	-
Total current assets	<u>1,588,684</u>	<u>3,600,450</u>
Noncurrent:		
Capital assets, net of accumulated depreciation	541,660	-
Total assets	<u>2,130,344</u>	<u>3,600,450</u>
Deferred Outflows of Resources, pension related deferred outflows	<u>156,846</u>	<u>-</u>
Liabilities		
Current:		
Accounts payable	4,423	14,708
Claims incurred but not reported	-	143,345
Unearned revenue, other	113,159	-
Total current liabilities	<u>117,582</u>	<u>158,053</u>
Noncurrent:		
Net OPEB liability	87,438	-
Net pension liability	504,163	-
Total liabilities	<u>709,183</u>	<u>158,053</u>
Deferred Inflows of Resources, Pension related deferred inflows	4,387	-
Net OPEB related deferred inflows	2,210	-
Total deferred inflows of resources	<u>6,597</u>	<u>-</u>
Net Position		
Net investment in capital assets	541,660	-
Restricted	17,737	-
Unrestricted	1,012,013	3,442,397
Total net position	<u>\$ 1,571,410</u>	<u>\$ 3,442,397</u>

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2018

	Enterprise Fund School Nutrition	Internal Service Fund
Operating revenues:		
Local sources, charges for services	\$ 1,750,799	\$ 5,502,929
Operating expenses:		
Support services:		
Benefits	-	49,185
Purchased services	-	5,217,994
Other	-	21,783
	-	5,288,962
Noninstructional programs:		
Salaries	593,168	-
Benefits	251,358	-
Purchased services	908	-
Supplies	1,122,076	-
Depreciation	99,791	-
	2,067,301	-
Total operating expenses	2,067,301	5,288,962
Operating income (loss)	(316,502)	213,967
Nonoperating revenues (expenses):		
Loss on sale of capital assets	(11,976)	
Interest on investments	13,441	-
State sources	14,958	-
Federal sources	614,604	-
Total nonoperating revenues	631,027	-
Income before capital contributions and transfers	314,525	213,967
Capital contributions	187,536	-
Transfers out	(216,856)	-
Change in net position	285,205	213,967
Net position, beginning of year, as restated	1,286,205	3,228,430
Net position, end of year	\$ 1,571,410	\$ 3,442,397

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Cash Flows

Proprietary Funds

Year Ended June 30, 2018

	Enterprise Fund	
	School Nutrition	Internal Service Fund
Cash flows from operating activities:		
Cash received from sale of lunches and breakfasts	\$ 1,761,419	\$ -
Cash received from miscellaneous operating activities	-	5,481,607
Cash payments to employees for services	(750,193)	-
Cash payments to suppliers for goods or services	(934,915)	(5,088,954)
Net cash provided by operating activities	76,311	392,653
Cash flows from noncapital financing activities:		
Transfers to other funds	(216,856)	-
State grants received	14,958	-
Federal grants received	405,681	-
Net cash provided by noncapital financing activities	203,783	-
Cash flows (used in) capital related financing activities,		
Acquisition of capital assets	(19,526)	-
Cash flows from investing activities, interest on investments	13,441	-
Net increase in cash and cash equivalents	274,009	392,653
Cash and cash equivalents, beginning of year	1,279,182	2,511,104
Cash and cash equivalents, end of year	\$ 1,553,191	\$ 2,903,757
Reconciliation of operating income (loss) to net cash provided by operating activities:		
Operating income (loss)	\$ (316,502)	\$ 213,967
Adjustments to reconcile operating income (loss) to net cash provided by operating activities:		
Depreciation	99,791	-
Commodities used	208,923	-
(Increase) decrease in accounts receivable	659	(21,322)
(Increase) in inventories	(14,126)	-
(Increase) decrease in prepaid expenses	(11,151)	313,578
Increase in accounts payable	4,423	11,374
Increase in net OPEB liability and related deferrals	69,492	-
Increase in pension and related deferrals	24,841	-
(Decrease) in claims incurred but not reported	-	(124,944)
Increase in unearned revenue	9,961	-
Net cash provided by operating activities	\$ 76,311	\$ 392,653
Schedule of noncash items:		
Noncapital financing activities,		
Federal commodities	\$ 208,923	\$ -
Capital activities		
Contributed capital	\$ 187,536	\$ -

See Notes to Basic Financial Statements.

Pleasant Valley Community School District

Statement of Fiduciary Assets and Liabilities

Fiduciary Fund

June 30, 2018

	<u>Agency</u>
Assets	
Cash and pooled investments	\$ 17,117
Total assets	<u><u>\$ 17,117</u></u>
Liabilities	
Accounts payable	\$ 273
Due to other groups	16,844
Total liabilities	<u><u>\$ 17,117</u></u>

See Notes to Basic Financial Statements.

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Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies

Pleasant Valley Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades kindergarten through twelve. The District also operates a preschool program. The geographic area served includes the Township of Pleasant Valley, Iowa, the City of LeClaire, Iowa, portions of the City of Bettendorf, Iowa and portions of the agricultural territory of Scott County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's financial statements are prepared in conformity with U.S. generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board.

Reporting entity:

For financial reporting purposes, Pleasant Valley Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. Pleasant Valley Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Scott County Assessor's Conference Board.

Basis of presentation:

District-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the District-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

The Management Fund accounts for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

Debt Service Fund: Accounts for the accumulation of resources for, and the payment of, general long-term debt principal, interest and related costs. Revenue of the fund primarily consists of local property taxes.

Proprietary fund types are used to account for the District's ongoing organizations and activities which are similar to those often found in the private sector. The measurement focus is upon income determination, financial position, and cash flows. The District has two proprietary funds, an enterprise fund and an internal service fund.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Enterprise funds are used to account for those operations that are financed and operating in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability. The District's nonmajor enterprise fund is the Nutrition Fund which accounts for the food service operations of the District.

The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance plans for District employees.

The District also reported fiduciary funds. The District's fiduciary funds include the following:

The Agency Fund is used to account for assets held by the District as an agent for individuals, private organizations and other governments. These are funds for District employee purchases of pop, funeral flowers, and related expenditures and expenditures for various club accounts. The Agency Fund is custodial in nature, assets equal liabilities and does not involve measurement of results of operations.

Measurement focus and basis of accounting:

The District-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Assets, deferred outflows of resources, liabilities, deferred inflows of resources and fund equity:

The following accounting policies are followed in preparing the financial statements:

Cash, pooled investments and cash equivalents: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for short-term nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the District-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied. The property tax revenue recognized in these funds was due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2016 assessed property valuations; is for the tax accrual period July 1, 2017 through June 30, 2018 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2017.

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid items: The District accounts for the prepaid items by using the purchases method.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Capital assets: Capital assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the District-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	\$ 1
Buildings	25,000
Improvements other than buildings	25,000
Intangibles	100,000
Furniture and equipment:	
School Nutrition Fund equipment	300
Other furniture and equipment	2,500

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	20 - 40 years
Improvements other than buildings	15 - 40 years
Furniture and equipment	5 - 15 years

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities.

Unearned revenue: Unearned revenue consists primarily of school registration fees, activity fees and meal revenues collected for the programs and services in the next school year.

Compensated absences: District employees accumulate a limited amount of earned but unused vacation and sick leave for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the District-wide financial statements. A liability for these amounts is reported in governmental fund financial statements only for employees who have resigned or retired. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2018. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund and by the Special Revenue Fund, Management Levy.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Pensions — For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Cash flows: For the purpose of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts in the assigned fund balance classification are intended to be used by the District for specific purposes but do not meet the criteria to be classified as committed. The authority to assign fund balances has been delegated to the Chief Financial Officer by the Board of Education. The District has assigned \$2,313,277 for transportation. Unlike commitments, assignments only exist temporarily. An additional action does not normally have to be taken for the removal of an assignment.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of other governmental funds would also be reported as unassigned.

The District's flow of funds assumption prescribes that the funds with the highest level of constraint are expended first. When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to first apply the expenditure toward restricted fund balance and then to less restrictive classifications –assigned and then unassigned fund balances.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of fund balance or net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense and contributions from the employer after the measurement date but before the end of the employer's reporting period.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of fund balance or net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The District's deferred inflows of resources consist of deferred revenue, the unamortized portion of the net difference between projected and actual earnings on pension plan investments, and the unamortized portion of the changes in assumptions for other postemployment benefits.

The District reports unavailable revenue in the governmental funds balance sheet from the statewide sales and services tax and property tax. This amount is deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements, only the succeeding year property tax revenue remains as a deferred inflow of resources under the full accrual basis of accounting and will become an inflow in the year for which levied. The District also reports pension related deferred outflows in the government-wide statements and the proprietary fund statements.

Net position: In proprietary funds, fiduciary funds, and government-wide financial statements, net position represents the difference between assets, deferred outflows of resources, liabilities, and deferred inflows of resources. Net investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net position is reported as restricted when there are limitations imposed on their use through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments.

Net position restricted by enabling legislation as of June 30, 2018 consists of \$662,376 for categorical funding, \$2,019,648 for management levy purposes, \$1,505,933 for physical plant and equipment levy, \$1,990,415 for school infrastructure, \$623,796 for student activity purposes and \$22,455 for debt service.

Net position flow assumption: Sometimes the District will fund outlays for a particular purpose from both restricted (e.g. restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted-net position and unrestricted-net position in the government-wide and proprietary fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the District's policy to consider restricted-net position to have been depleted before unrestricted-net position is applied.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Budgets and budgetary control:

In accordance with the Code of Iowa, the District's Board of Education annually adopts a single district-wide budget and approves the related appropriations following required public notice and hearing for all funds. The budgets and related appropriations as well as the financial statements are prepared on the modified accrual basis or accrual basis of accounting. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of disbursement known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The Code of Iowa also provides that District disbursements in the General Fund may not exceed the amount authorized by the school finance formula. The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year ended June 30, 2018, expenditures did not exceed the amounts budgeted.

Note 2. Cash and Pooled Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

The District's cash and pooled investment consisted of depository accounts at financial institutions including short-term nonnegotiable certificate of deposits.

Custodial credit risk: The District's deposits in banks as of June 30, 2018 were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the Code of Iowa. This Chapter provides for additional assessments against the depositories to insure there will be no loss of public funds. The district does not have a separate custodial credit risk policy from state statutes.

Credit risk: The District does not have a separate credit risk or interest rate risk policy from state statutes. The District does not have any investments as of June 30, 2018.

Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2018 is as follows:

Transfer To	Transfer From	Amount
General	Nonmajor enterprise fund, Nutrition	\$ 29,219
Capital Projects	Nonmajor enterprise fund, Nutrition	187,537
Nonmajor governmental fund,		
Debt Service	Capital Projects	2,952,952
Student Activity	General	12,746
		<u>\$ 3,182,454</u>

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. Transfers from the Capital Projects Fund to the Debt Service Fund are to make principal and interest payments on the District's revenue bonds. Transfers from the Nutrition Fund to the General Fund are for indirect costs of the program. Transfers from the Nutrition Fund to the Capital Projects Fund are for capital assets.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 4. Capital Assets

Capital assets activity for the year ended June 30, 2018 is as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 1,360,555	\$ -	\$ -	\$ 1,360,555
Construction in progress	20,373,127	15,801,292	9,588,510	26,585,909
Total capital assets not being depreciated	21,733,682	15,801,292	9,588,510	27,946,464
Capital assets being depreciated:				
Buildings	67,346,717	9,974,190	-	77,320,907
Improvements other than buildings	7,821,107	61,520	-	7,882,627
Furniture and equipment	8,220,982	445,555	104,984	8,561,553
Total capital assets being depreciated	83,388,806	10,481,265	104,984	93,765,087
Less accumulated depreciation for:				
Buildings	29,135,888	1,964,198	-	31,100,086
Improvements other than buildings	3,316,528	370,017	-	3,686,545
Furniture and equipment	6,976,242	247,303	81,308	7,142,237
Total accumulated depreciation	39,428,658	2,581,518	81,308	41,928,868
Total capital assets being depreciated, net	43,960,148	7,899,747	23,676	51,836,219
Governmental activities capital assets, net	\$ 65,693,830	\$ 23,701,039	\$ 9,612,186	\$ 79,782,683
Business-type activities:				
Furniture and equipment	\$ 1,260,848	\$ 207,062	\$ 39,971	\$ 1,427,939
Less accumulated depreciation	814,483	99,791	27,995	886,279
Business-type activities capital assets, net	\$ 446,365	\$ 107,271	\$ 11,976	\$ 541,660

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 4. Capital Assets (Continued)

Depreciation expense was charged by the District to the following functions:

Governmental activities:	
Instruction	\$ 2,314,055
Support services:	
Administration	167,575
Operation and maintenance of plant services	99,888
Total governmental activities depreciation expense	\$ 2,581,518
Business-type activities, food service operations	\$ 99,791

Note 5. Long-Term Liabilities

A summary of changes in long-term liabilities for the year ended June 30, 2018 is as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds, Series 2015	\$ 8,410,000	\$ -	\$ 1,620,000	\$ 6,790,000	\$ 1,650,000
Revenue bonds, Series 2016	10,000,000	-	870,000	9,130,000	890,000
Revenue bonds, Series 2017	-	10,000,000	350,000	9,650,000	350,000
Capital lease	-	348,838	-	348,838	89,691
Early retirement	81,787	246,093	92,223	235,657	123,046
Compensated absences	981,884	912,513	862,344	1,032,053	821,513
Net OPEB liability	1,995,446	103,063	-	2,098,509	-
Net pension liability	23,074,733	1,736,070	-	24,810,803	-
Total	\$ 44,120,160	\$ 13,346,577	\$ 3,794,567	\$ 54,095,860	\$ 3,924,250
Business-type activities:					
Net OPEB liability	\$ 20,156	\$ 67,282	\$ -	\$ 87,438	\$ -
Net pension liability	468,733	35,430	-	504,163	-
Total	\$ 481,141	\$ 102,712	\$ -	\$ 591,601	\$ -

Revenue bonds: In December 2015, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2015 for capital improvements to school buildings. Bond principal is payable annually on July 1 beginning July 1, 2017 through July 1, 2022. The bonds have an interest rate of 1.78 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2018 is \$7,094,403. During the year ended June 30, 2018, \$1,620,000 principal was paid and \$149,698 of interest was paid on the bonds. The statewide sales, services, and use tax revenues were \$4,415,088 for the year ended June 30, 2018. The pledge of statewide sales, service and use tax revenues constitutes approximately 97% of annual statewide sales, service and use tax revenues of the District.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

In October 2016, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2016 for capital improvements to school buildings. Bond principal is payable annually on July 1 beginning July 1, 2018 through July 1, 2029. The bonds have an interest rate of 1.96 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2018 is \$10,176,836. During the year ended June 30, 2018, \$870,000 principal was paid and \$196,000 of interest was paid on the bonds. The statewide sales, services, and use tax revenues were \$4,415,088 for the year ended June 30, 2018. The pledge of statewide sales, service and use tax revenues constitutes approximately 97% of annual statewide sales, service and use tax revenues of the District.

In October 2017, the District issued \$10,000,000 in School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2017 for capital improvements to school buildings. Bond principal is payable annually on July 1, beginning on July 1, 2018 through July 1, 2029. The bonds have an interest rate of 1.94 percent. Interest is payable semiannually on January 1 and July 1 until maturity. The bonds are payable solely from the revenues of the statewide sales, services and use tax. The bonds are not general obligations of the District. The total remaining principal and interest remaining to be paid on the bonds as of June 30, 2018 is \$11,012,947. During the year ended June 30, 2018 \$350,000 principal was paid and \$140,111 of interest was paid on the bonds. The statewide sales, services, and use tax revenues were \$4,415,088 for the year ended June 30, 2018. The pledge of statewide sales, service and use tax revenues constitutes approximately 97% of annual statewide sales, service and use tax revenues of the District.

The resolutions providing for the issuance of the revenue bonds included the following provisions:

- All proceeds from the statewide sales, service and use tax shall be deposited into the revenue account.
- Monies in the revenue account shall first be disbursed to make deposits into the sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year. At June 30, 2018, there was \$22,455 deposited in the sinking account in the Debt Service Fund.
- If monies in the sinking fund exceed the required amount, the excess shall be transferred to the revenue account. At June 30, 2018, there was no amount deposited into a surplus account.

Annual debt service requirements on all outstanding indebtedness as of June 30, 2018, are as follows:

Year ending June 30:	Revenue Bonds, Series 2015		
	Principal	Interest	Total
2019	1,650,000	120,862	1,770,862
2020	1,680,000	91,492	1,771,492
2021	1,715,000	60,988	1,775,988
2022	1,745,000	31,061	1,776,061
Totals	\$ 6,790,000	\$ 304,403	\$ 7,094,403

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

Year ending June 30:	Revenue Bonds, Series 2016		
	Principal	Interest	Total
2019	890,000	178,948	1,068,948
2020	905,000	161,504	1,066,504
2021	925,000	143,766	1,068,766
2022	945,000	125,636	1,070,636
2023	735,000	107,114	842,114
2024	750,000	92,708	842,708
2025	765,000	78,008	843,008
2026	780,000	63,014	843,014
2027	795,000	47,726	842,726
2028	810,000	32,144	842,144
2029	830,000	16,268	846,268
Totals	\$ 9,130,000	\$ 1,046,836	\$ 10,176,836

Year ending June 30:	Revenue Bonds, Series 2017		
	Principal	Interest	Total
2019	350,000	187,210	537,210
2020	350,000	180,420	530,420
2021	350,000	173,630	523,630
2022	350,000	166,840	516,840
2023	1,100,000	160,050	1,260,050
2024	1,125,000	138,710	1,263,710
2025	1,150,000	116,885	1,266,885
2026	1,175,000	94,575	1,269,575
2027	1,205,000	71,780	1,276,780
2028	1,235,000	48,403	1,283,403
2029	1,260,000	24,444	1,284,444
Totals	\$ 9,650,000	\$ 1,362,947	\$ 11,012,947

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

Computer Lease: The District entered into a lease agreement with Apple Computer, Inc. on April 21, 2018, for computers. Annual principal and interest payments are made from the Capital Projects Fund, Physical Plant and Equipment Levy account. The first payment is in July of 2018. The computers do not meet the District's capitalization thresholds. The following is a payment schedule for the computer lease:

Year ending June 30:	Capital Lease		
	Principal	Interest	Total
2019	89,691	2,873	92,564
2020	83,397	9,167	92,564
2021	86,348	6,217	92,565
2022	89,402	3,163	92,565
Totals	\$ 348,838	\$ 21,420	\$ 370,258

As of June 30, 2018, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	1,675,799,422
Debt limit, 5% of total assessed valuation	\$ 83,789,971
Amount of debt applicable to debt limitation	25,918,838
Legal debt margin	<u>\$ 57,871,133</u>

Early retirement: The District offered a voluntary early retirement plan to its certified, administrative and classified employees. Eligible employees must be at least age 55 and employees must have completed 15 years of service to the District. Employees must complete an application which is required to be approved by the Board of Education.

For administrative and certified personnel, the early retirement incentive for each eligible employee is equal to 50 percent of the employee's base salary calculated by using the current year regular salary schedule. For classified personnel, the early retirement incentive for each eligible employee is the product of 50 percent of the number of unused sick leave days (limited to a maximum number of days in the employee's letter of assignment) times the employee's hourly wage rate on the last day of employment times the daily hours worked.

As of June 30, 2018, the District had obligations to 10 participants with a total liability of \$235,567. Actual early retirement expenditures for the year ended June 30, 2018 totaled \$92,223. Early retirement is recorded as a long-term liability of the Governmental Activities in the District-wide financial statements. Early retirement obligations are generally liquidated by the Management Fund or the General Fund.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, Pleasant Valley Community School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. The Plan is a single employer defined benefit OPEB plan administered by the District. Under Chapter 509A.13 of the Code of Iowa, "Group Insurance for Public Employees," If a governing body has procured insurance for its employees, the governing body shall allow its employees who retired before the age of sixty-five years of age to continue participation in the group plan at the employee's own expense until the employee attains sixty-five years of age. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75.

Benefits provided: The Plan provides healthcare benefits including medical and prescription drug benefits for retirees and their dependents. Retiree health care coverage is available to pre-age 65 eligible retirees. All employees are required to contribute the full premium in order to continue coverage at retirement.

The full monthly premium rates as of July 1, 2018 for each plan are as shown below:

Rate Tier	Traditional
Single	\$ 591
Family	2,183

Employees covered by benefit terms: At June 30, 2018, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	8
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	407
	<u>415</u>

Total OPEB Liability: The District's total OPEB liability of \$2,185,947 was measured as of June 30, 2018 and was determined by an actuarial valuation as of June 30, 2018.

Actuarial assumptions and other inputs: The total OPEB liability in the June 30, 2018 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified.

Inflation	3.00% per annum
Salary increases	3.50% per annum
Discount rate	3.87% per annum
Retirees' share of benefit-related costs	100%
Health care cost trend rate	7.00% reduced 0.50% per annum until reaching ultimate health care cost trend rate - 4.50%

The discount rate was based on the Bond Buyer 20-Bond GO index.

Mortality rates were based on the RP-2014 generational table scaled using MP-17 and applied on a gender-specific basis.

The actuarial assumptions used in the June 30, 2018 valuation were based on the results of an actuarial experience study for the period 2010– 2017.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB) (continued)

Changes in the Total OPEB Liability

	Increase (Decrease)		
	Total OPEB Liability (a)	Plan Fiduciary Net Position (b)	Net OPEB Liability (a) - (b)
Balance at July 1, 2017	\$ 2,015,602	\$ -	\$ 2,015,602
Changes for the year:			
Service cost	193,420	-	193,420
Interest	84,561	-	84,561
Changes of benefit terms	-	-	-
Differences between expected and actual experience	-	-	-
Changes in assumptions or other inputs	(59,537)	-	(59,537)
Benefit payments	(48,099)	-	(48,099)
Net changes	170,345	-	170,345
Balance at June 30, 2018	\$ 2,185,947	\$ -	\$ 2,185,947

There were no changes as a result of changes in benefit terms or differences between expected and actual experience. Changes of assumptions or other inputs reflect a change in the discount rate from 3.58% per annum in 2017 to 3.87% per annum in 2018.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease 2.87%	Discount Rate 3.87%	1% Increase 4.87%
Total OPEB liability	\$ 2,399,000	\$ 2,185,947	\$ 1,994,000

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents that total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates.

	Healthcare Cost Trend Rates		
	1% Decrease 6.00%	7.00%	1% Increase 8.00%
Total OPEB liability	\$ 1,873,000	\$ 2,185,947	\$ 2,682,000

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 6. Other Postemployment Benefits (OPEB) (continued)

For the year ended June 30, 2018, the District recognized OPEB expense of \$273,705. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ -
Changes of assumptions or other inputs	-	55,261
Net difference between projected and actual investments	-	-
Total	\$ -	\$ 55,261

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:

2019	\$ 4,275
2020	4,275
2021	4,275
2022	4,275
2023	4,275
Thereafter	33,886
	<u>\$ 55,261</u>

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 7. Transportation Contract

The District entered into a transportation contract/equipment lease for busing equipment and services required for the busing of all District students. The terms call for the leasing of buses for various routes. All services are provided by the lessor. The lease runs for one-year increments. For the year ended June 30, 2018, the equipment portion of the lease called for monthly payments of \$1,600 per bus for up to 43 buses. The lease payments for the year ended June 30, 2018 totaled \$751,108.

Note 8. Pension and Retirement Benefits

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50 percent for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 8. Pension and Retirement Benefits (Continued)

Funding Policy requires that the actuarial contribution rate be determined using the “entry age normal” actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2018, pursuant to the required rate, Regular members contributed 5.95 percent of covered payroll and the District contributed 8.93 percent of covered payroll for a total rate of 14.88 percent.

The District’s contributions to IPERS for the year ended June 30, 2018 were \$2,661,146.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2018, the District reported a liability of \$25,314,966 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District’s proportion of the net pension liability was based on the District’s share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2017, the District’s proportion was .380032 percent, which was an increase of .005930 percent from its proportion measured as of June 30, 2016.

For the year ended June 30, 2018, the District recognized pension expense of \$3,902,176. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 232,416	\$ 219,335
Changes of assumptions	4,398,574	-
Net difference between projected and actual earnings on pension plan investments	-	264,406
Changes in proportion and differences between District contributions and proportionate share of contributions	1,038,027	-
District contributions subsequent to the measurement date	2,661,146	-
Total	\$ 8,330,163	\$ 483,741

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 8. Pension and Retirement Benefits (Continued)

Deferred outflows of resources of \$2,661,146 related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2019. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2019	\$ 1,033,619
2020	2,244,657
2021	1,357,095
2022	232,621
2023	317,284
Thereafter	-
Total	\$ 5,185,276

There were no non-employer contributing entities to IPERS.

Actuarial Assumptions – The total pension liability in the June 30, 2017 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent average, including inflation. Rates vary by membership group.
Investment rate of return (effective June 30, 2017)	7.00 percent per annum, compounded annually, net of pension plan, investment expense, including inflation
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

The actuarial assumptions used in the June 30, 2017 valuation were based on the results of actuarial experience study dated March 24, 2017.

Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 8. Pension and Retirement Benefits (Continued)

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Core-plus fixed income	27.0%	2.25%
Domestic equity	24.0%	6.25%
International equity	16.0%	6.71%
Private equity	11.0%	11.15%
Private real assets	7.5%	4.18%
Public real assets	7.0%	3.27%
Public credit	3.5%	3.46%
Private credit	3.0%	4.25%
Cash	1.0%	-0.31%
Total	100%	

Discount Rate – The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate.

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 41,708,909	\$ 25,314,966	\$ 11,540,905

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 8. Pension and Retirement Benefits (Continued)

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2018, the District reported payables to the defined benefit pension plan of \$362,795 for legally required employer contributions and \$240,919 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 9. Risk Management

In April 2017, the District transitioned from the fully self-funded health and dental insurance to a partially self-insured plan. The new plan provides for a high deductible plan. The District funds claims between the former deductible (\$1,500 family and \$750 single) and former maximum out of pocket (\$4,500 family and \$2,250 single) to the new deductible (\$10,000 family and \$5,000 single) and new maximum out of pocket (\$14,000 family and \$7,000 single).

Payments are made to the plan based on actuarial estimates of amounts needed to pay prior and current year claims and to establish a reserve for incurred but unpaid claims. Changes in the claims liability amounts for the years ended June 30, 2018 and 2017 were as follows:

Self-Insurance Liability	Beginning	Claims and Changes in Estimates	Claim Payments	Ending
2017	\$ 507,978	\$ 3,870,621	\$ 4,110,310	\$ 268,289
2018	268,289	832,988	957,932	143,345

Claims liability is classified as current as claims are typically paid within 2 ½ months of incurred date.

Pleasant Valley Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

Note 10. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$2,056,304 for the year ended June 30, 2018 and is recorded in the General Fund.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 11. Categorical Funding

The District's fund balance restricted for categorical funding as of June 30, 2018 is comprised of the following programs:

Program	Amount
Home school assistance	\$ 47,760
Gifted and talented	11,142
Dropout prevention	66,420
Four year old preschool	176,483
Model core curriculum	64,624
Teacher leadership	135,128
Successful progression for early readers	62,677
Professional development	89,012
Other	9,130
Total	\$ 662,376

Note 12. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments. Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2018 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of LeClaire, Iowa	Urban renewal and economic development projects	\$ 887,144
City of Bettendorf, Iowa	Urban renewal and economic development projects	61,136

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2018, this reimbursement amounted to \$459,569.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 13. Commitments

The District has entered into various contracts totaling \$31,370,358 for elementary and junior high and high school classroom additions, parking lot improvements and restroom upgrades. As of June 30, 2018, costs of \$25,104,093 had been incurred against the contracts. The balance of \$6,266,265 remaining as of June 30, 2018 will be paid as work on the projects progress.

Note 14. Governmental Accounting Standards Board (GASB)

The District adopted the following statements during the year ended June 30, 2018:

GASB Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions: This Statement replaces the requirements of Statements No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans, for OPEB*. Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, establishes new accounting and financial reporting requirements for OPEB plans. The scope of this Statement addresses accounting and financial reporting for OPEB that is provided to the employees of state and local governmental employers. This Statement establishes standards for recognizing and measuring liabilities, deferred outflows of resources, deferred inflows of resources, and expense/expenditures. For defined benefit OPEB, this Statement identifies the methods and assumptions that are required to be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service. Note disclosure and required supplementary information requirements about defined benefit OPEB also are addressed.

GASB Statement No. 81, Irrevocable Split-Interest Agreements: The objective of this Statement is to improve accounting and financial reporting for irrevocable split-interest agreements by providing recognition and measurement guidance for situations in which a government is a beneficiary of the agreement.

GASB Statement No. 82, Pension Issues – an amendment of GASB Statements No. 67, No. 68, and No. 73: This Statement addresses issues regarding (1) the presentation of payroll-related measures in required supplementary information, (2) the selection of assumptions and the treatment of deviations from the guidance in an Actuarial Standard of Practice for financial reporting purposes, and (3) the classification of payments made by employers to satisfy employee (plan member) contribution requirements.

GASB Statement No. 85, Omnibus 2017: The objective of this Statement is to address practice issues that have been identified during implementation and application of certain GASB Statements. This Statement addresses a variety of topics including issues related to blending component units, goodwill, fair value measurement and application, and postemployment benefits (pensions and other postemployment benefits (OPEB)).

GASB Statement No. 86, Certain Debt Extinguishment Issues: The primary objective of this Statement is to improve consistency in accounting and financial reporting for in-substance defeasance of debt by providing guidance for transactions in which cash and other monetary assets acquired with only existing resources—resources other than the proceeds of refunding debt—are placed in an irrevocable trust for the sole purpose of extinguishing debt. This Statement also improves accounting and financial reporting for prepaid insurance on debt that is extinguished and notes to financial statements for debt that is defeased in substance.

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 14. Governmental Accounting Standards Board (GASB) (continued)

The implementation of the above statements did not have a material impact to the District's financial statements except for GASB Statement No. 75 which required the District to change the accounting and reporting of OPEB benefit expense, total OPEB liability, and the related deferred inflows of resources and deferred outflows of resources. As a result, the District's financial statements required a restatement as stated in Note 15. In addition, the new standards required new note disclosures and new required supplementary information schedules.

As of June 30, 2018, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 83, *Certain Asset Retirement Obligations*, issued November 2016, will be effective for the District beginning with its fiscal year ending June 30, 2019. This Statement addresses accounting and financial reporting for certain asset retirement obligations (AROs). An ARO is a legally enforceable liability associated with the retirement of a tangible capital asset. A government that has legal obligations to perform future asset retirement activities related to its tangible capital assets should recognize a liability based on the guidance in this Statement. This Statement establishes criteria for determining the timing and pattern of recognition of a liability and a corresponding deferred outflow of resources for AROs.

GASB Statement No. 84, *Fiduciary Activities*, issued January 2017, will be effective for the District beginning with its fiscal year ending June 30, 2020. The objective of this Statement is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. The focus of the identification criteria established by the Statement is on 1) whether a government is controlling the assets of the fiduciary activity and 2) the beneficiaries with whom a fiduciary relationship exists. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities. An activity meeting the criteria should be reported as a fiduciary fund in the basic financial statements. This statement also provides for recognition of a liability to the beneficiaries in a fiduciary fund when an event has occurred that compels the government to disburse fiduciary resources.

GASB Statement No. 87, *Leases*, issued June 2017, will be effective for the District beginning with its fiscal year ending June 30, 2021. The objective of this Statement is to better meet the information needs of financial statement users by improving accounting and financial reporting for leases by governments. This Statement increases the usefulness of governments' financial statements by requiring recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this Statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities.

GASB Statement No. 88, *Certain Disclosures Related to Debt, including Direct Borrowings and Direct Placements*, issued April 2018, will be effective for the District beginning with its fiscal year ending June 30, 2019. The primary objective of this Statement is to improve the information that is disclosed in notes to government financial statements related to debt, including direct borrowings and direct placements. It also clarifies which liabilities governments should include when disclosing information related to debt. This Statement defines debt for purposes of disclosure in notes to financial statements as a liability that arises from a contractual obligation to pay cash (or other assets that may be used in lieu of cash) in one or more payments to settle an amount that is fixed at the date the contractual obligation is established. This Statement requires that additional essential information related to debt be disclosed in notes to

Pleasant Valley Community School District

Notes to Basic Financial Statements

Note 14. Governmental Accounting Standards Board (GASB) (continued)

financial statements, including unused lines of credit; assets pledged as collateral for the debt; and terms specified in debt agreements related to significant events of default with finance-related consequences, significant termination events with finance-related consequences, and significant subjective acceleration clauses. For notes to financial statements related to debt, this Statement also requires that existing and additional information be provided for direct borrowings and direct placements of debt separately from other debt.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Note 15. Restatement

Governmental Accounting Standards Board Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions, was implemented as of the beginning of the year ended June 30, 2018. The revised requirements establish new financial reporting requirements for state and local government employers that provide postemployment benefits other than pensions, including additional note disclosures and required supplementary information. Statement No. 75 establishes standards for recognizing and measuring liabilities, deferred outflows of resources, deferred inflows of resources, and expense/expenditures. Beginning net position for governmental, business-type activities and proprietary funds were restated to retroactively report the beginning net OPEB liability and, if applicable, deferred outflows of resources related to contributions made after the measurement date of the beginning total OPEB liability but before the beginning of the District's fiscal year.

	Governmental Activities	Business-type Activities	Nonmajor Enterprise Nutrition
Net position / fund balance June 30, 2017, as previously reported	\$ 48,205,752	\$ 1,293,953	\$ 1,293,953
Net OPEB obligation	1,571,756	12,408	12,408
Total OPEB liability	(1,995,446)	(20,156)	(20,156)
Net position / fund balance June 30, 2017, as restated	<u>\$ 47,782,062</u>	<u>\$ 1,286,205</u>	<u>\$ 1,286,205</u>

Note 16. Subsequent Event

On September 11, 2018, the District issued \$14,000,000 School Infrastructure Sales, Services and Use Tax Revenue Bonds Series 2018. The bonds bear interest at 2.93% payable semiannually on January 1 and July 1. Principal amounts ranging from \$385,000 to \$1,965,000 are payable annually beginning July 1, 2019 and maturing July 1, 2029.

On October 1, 2018, the District issued \$17,640,000 General Obligation School Capital Loan Notes Series 2018. The bonds bear interest at 3.0% payable semiannually on January 1 and July 1. Principal amounts ranging from \$1,735,000 to \$2,200,000 are payable annually beginning July 1, 2020 and maturing July 1, 2029.

Pleasant Valley Community School District

**Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in Balances -
Budget and Actual - All Governmental Funds and Enterprise Fund
Required Supplementary Information
Year Ended June 30, 2018**

	Governmental Funds - Actual	Enterprise Fund - Actual
Revenues:		
Local sources	\$ 25,794,322	\$ 1,951,776
State sources	33,177,182	14,958
Federal sources	941,058	614,604
Total revenues	59,912,562	2,581,338
Expenditures/expenses:		
Instruction	35,464,968	-
Support services	15,889,165	-
Noninstructional programs	23,618	2,067,301
Other expenditures	22,592,310	-
Total expenditures/expenses	73,970,061	2,067,301
Excess (deficiency) of revenues over (under) expenditures/expenses	(14,057,499)	514,037
Other financing sources (uses):		
Proceeds (loss) from sale of capital assets	10,842	(11,976)
Issuance of long term debt	10,348,838	-
Interfund transfers in	3,182,554	-
Interfund transfers out	(2,965,698)	(216,856)
Total other financing sources (uses)	10,576,536	(228,832)
Net change in fund balance	(3,480,963)	285,205
Balance, beginning of year	16,009,127	1,286,205
Balance, end of year	\$ 12,528,164	\$ 1,571,410

See Notes to Required Supplementary Information.

Total Actual		Budgeted Amounts		Final to Actual Variance
		Original	Final	
\$	27,746,098	\$ 27,494,044	\$ 27,494,044	\$ 252,054
	33,192,140	33,060,367	33,060,367	131,773
	1,555,662	1,710,353	1,710,353	(154,691)
	62,493,900	62,264,764	62,264,764	229,136
	35,464,968	35,613,020	41,289,415	5,824,447
	15,889,165	15,750,508	18,847,431	2,958,266
	2,090,919	2,357,066	3,739,304	1,648,385
	22,592,310	21,340,825	25,664,642	3,072,332
	76,037,362	75,061,419	89,540,792	13,503,430
	(13,543,462)	(12,796,655)	(27,276,028)	13,732,566
	(1,134)	380	380	(1,514)
	10,348,838	14,000,000	14,000,000	(3,651,162)
	3,182,554	3,360,741	3,360,741	(178,187)
	(3,182,554)	(3,360,741)	(3,360,741)	178,187
	10,347,704	14,000,380	14,000,380	(3,652,676)
	(3,195,758)	1,203,725	(13,275,648)	10,079,890
	17,295,332	17,295,332	17,295,332	-
\$	14,099,574	\$ 18,499,057	\$ 4,019,684	\$ 10,079,890

Pleasant Valley Community School District

**Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Year ending June 30, 2018**

	<u>2018</u>
Total OPEB liability	
Changes for the year:	
Service cost	\$ 193,420
Interest	84,561
Changes of benefit terms	-
Differences between expected and actual experience	-
Changes in assumptions or other inputs	(59,537)
Benefit payments	(48,099)
Net changes in total OPEB liability	<u>170,345</u>
Total OPEB liability - beginning	<u>2,015,602</u>
Total OPEB liability - ending	<u><u>\$ 2,185,947</u></u>
 Covered employee payroll	 \$ 24,435,885
 Total OPEB liability as a percentage of covered employee payroll	 9.0%

Notes to Schedule:

Changes of benefit terms:

There were no changes as a result of changes in benefit terms or differences between expected and actual experience.

Changes of assumption:

Changes of assumptions or other inputs reflect a change in the discount rate from 3.58% per annum in 2017 to 3.87% per annum in 2018. The following are the discount rates used in each period:

2018	3.87%
2017	3.58%

No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

Note: The schedule is intended to present information for ten years.
Information prior to 2018 is not available.

See Notes to Required Supplementary Information.

Pleasant Valley Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

Last Three Fiscal Years

	2018*	2017*	2016*	2015*
District's proportion of the net pension liability	0.380032%	0.374103%	0.366061%	0.365605%
District's proportionate share of the net pension liability	\$ 25,314,966	\$ 23,543,466	\$ 18,085,204	\$ 14,499,546
District's covered-employee payroll	\$ 28,377,079	\$ 26,851,672	\$ 25,093,051	\$ 23,941,880
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll	89.21%	87.68%	72.07%	60.56%
Plan fiduciary net pension as a percentage of the total pension liability	82.21%	81.82%	85.19%	87.61%

*The amounts presented for each fiscal year were determined as of the prior fiscal year-end.

Note: The schedule is intended to present information for ten years. Information prior to 2015 is not available.

See Notes to Required Supplementary Information.

Pleasant Valley Community School District

Required Supplementary Information
Schedule of District Contributions (in Thousands)
Iowa Public Employees' Retirement System
Last Ten Fiscal Years

	2018	2017	2016	2015
Statutorily required contribution	\$ 2,661	\$ 2,534	\$ 2,398	\$ 2,241
Contributions in relation to the statutorily required contribution	\$ (2,661)	\$ (2,534)	\$ (2,398)	\$ (2,241)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -
District's covered-employee payroll	\$ 29,800	\$ 28,377	\$ 26,852	\$ 25,093
Contributions as a percentage of covered-employee payroll	8.93%	8.93%	8.93%	8.93%

See Notes to Required Supplementary Information.

2014		2013		2012		2011		2010		2009	
\$	2,138	\$	1,913	\$	1,681	\$	1,345	\$	1,295	\$	1,178
\$	(2,138)	\$	(1,913)	\$	(1,681)	\$	(1,345)	\$	(1,295)	\$	(1,178)
\$	-	\$	-	\$	-	\$	-	\$	-	\$	-
\$	23,942	\$	22,065	\$	20,831	\$	19,345	\$	19,472	\$	18,551
	8.93%		8.67%		8.07%		6.95%		6.65%		6.35%

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Pleasant Valley Community School District

Notes to Required Supplementary Information

Note 1. Budgets and Budgetary Information

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and agency funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District adopted one budget amendment increasing budgeted expenditures by \$14,479,373.

During the year ended June 30, 2018, expenditures did not exceed the amounts budgeted.

Note 2. Iowa Public Employees' Retirement System Pension Liability

Changes of benefit terms:

Legislation passed in 2010 modified benefit terms for current Regular members. The definition of final average salary changed from the highest three to the highest five years of covered wages. The vesting requirement changed from four years of service to seven years. The early retirement reduction increased from 3 percent per year measured from the member's first unreduced retirement age to a 6 percent reduction for each year of retirement before age 65.

Changes of assumptions:

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

Pleasant Valley Community School District

Notes to Required Supplementary Information

Note 2. Iowa Public Employees' Retirement System Pension Liability (continued)

The 2014 valuation implemented the following refinements as a result of quadrennial experience study:

- Decreased the inflation assumption from 3.25 percent to 3.00 percent.
- Decreased the assumed rate of interest on member accounts from 4.00 percent to 3.75 percent per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Reduced retirement rates for sheriffs and deputies between the ages of 55 and 64.
- Moved from an open 30 year amortization period to a closed 30 year amortization period for the UAL beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20 year period.

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.
- Lowered disability rates at most ages.
- Lowered employment termination rates.
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increased assumptions based on various service duration.

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Pleasant Valley Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2018

	Special Revenue			
	Management	Student	Debt	
	Levy	Activity	Service	Total
Assets				
Cash and pooled investments	\$ 2,017,605	\$ 773,810	\$ 22,455	\$ 2,813,870
Receivables:				
Property tax:				
Current year	2,043	-	-	2,043
Succeeding year	590,000	-	-	590,000
Accounts	-	1,229	-	1,229
Prepaid items	-	5,295	-	5,295
Total assets	\$ 2,609,648	\$ 780,334	\$ 22,455	\$ 3,412,437
Liabilities, Deferred Inflows of Resources, and Fund Balances				
Liabilities:				
Accounts payable	\$ -	\$ 38,556	\$ -	\$ 38,556
Salaries and benefits payable	-	13,613	-	13,613
Unearned revenue	-	99,074	-	99,074
Total liabilities	-	151,243	-	151,243
Deferred inflows of resources,				
Unavailable revenue-succeeding				
year property tax	590,000	-	-	590,000
Fund balances:				
Nonspendable	-	5,295	-	5,295
Restricted	2,019,648	623,796	22,455	2,665,899
Total fund balances	2,019,648	629,091	22,455	2,671,194
Total liabilities, deferred inflows of resources and fund balances	\$ 2,609,648	\$ 780,334	\$ 22,455	\$ 3,412,437

Pleasant Valley Community School District

Combining Schedule of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Governmental Funds

Year Ended June 30, 2018

	Special Revenue			
	Management	Student	Debt	
	Levy	Activity	Service	Total
Revenues:				
Local sources:				
Local tax	\$ 611,482	\$ -	\$ -	\$ 611,482
Other	67,733	982,480	14,011	1,064,224
State sources	8,830	-	-	8,830
Total revenues	688,045	982,480	14,011	1,684,536
Expenditures:				
Current:				
Instruction	119,133	1,016,725	-	1,135,858
Support services:				
Student services	3,543	-	-	3,543
Instructional staff services	35,446	-	-	35,446
Administration services	23,331	12,075	-	35,406
Operation and maintenance of plant services	231,649	1,225	-	232,874
Transportation services	4,618	-	-	4,618
Noninstructional programs	22,995	-	-	22,995
Debt Service:				
Principal	-	-	2,840,000	2,840,000
Interest	-	-	485,652	485,652
Total expenditures	440,715	1,030,025	3,325,652	4,796,392
Excess (deficiency) of revenues over (under) expenditures	247,330	(47,545)	(3,311,641)	(3,111,856)
Other financing sources:				
Transfers in	-	12,746	2,952,952	2,965,698
Total other financing sources	-	12,746	2,952,952	2,965,698
Net change in fund balances	247,330	(34,799)	(358,689)	(146,158)
Fund balances, beginning of year	1,772,318	663,890	381,144	2,817,352
Fund balances, end of year	\$ 2,019,648	\$ 629,091	\$ 22,455	\$ 2,671,194

Pleasant Valley Community School District

**Schedule of Combining Balance Sheet
Capital Project Fund - By Account
June 30, 2018**

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Assets			
Cash and pooled investments	\$ 3,051,561	\$ 1,870,066	\$ 4,921,627
Receivables:			
Property tax:			
Current year	-	9,709	9,709
Succeeding year	-	2,670,000	2,670,000
Accounts	-	585	585
Due from other governments	602,047	-	602,047
Total assets	\$ 3,653,608	\$ 4,550,360	\$ 8,203,968
Liabilities, Deferred Inflows of Resources, and Fund Balances			
Liabilities:			
Accounts payable	\$ 1,663,193	\$ 374,427	\$ 2,037,620
Total liabilities	1,663,193	374,427	2,037,620
Deferred Inflows of Resources:			
Unavailable revenue-succeeding year property tax	-	2,670,000	2,670,000
Unavailable revenue-statewide sales and services tax	227,620	-	227,620
Total deferred inflows of resources	227,620	2,670,000	2,897,620
Fund Balances:			
Restricted for:			
Physical plant and equipment	-	1,505,933	1,505,933
School infrastructure	1,762,795	-	1,762,795
Total fund balances	1,762,795	1,505,933	3,268,728
Total liabilities and fund balances	\$ 3,653,608	\$ 4,550,360	\$ 8,203,968

Pleasant Valley Community School District

**Schedule of Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Capital Project Fund - By Account
Year Ended June 30, 2018**

	Capital Projects Accounts		
	Statewide Sales, Services and Use Tax	Physical Plant and Equipment Levy	Total
Revenues:			
Local sources:			
Local tax	\$ -	\$ 2,798,880	\$ 2,798,880
Other	59,889	42,308	102,197
State sources	4,415,088	40,300	4,455,388
Federal sources	-	13,918	13,918
Total revenues	4,474,977	2,895,406	7,370,383
Expenditures:			
Current:			
Instruction	-	717,701	717,701
Support services:			
Administration services	-	215,470	215,470
Operation and maintenance of plant services	-	104,167	104,167
Transportation services	-	190,000	190,000
Other expenditures, facilities acquisition	15,611,778	1,460,496	17,072,274
Debt service, bond issuance costs	138,080	-	138,080
Total expenditures	15,749,858	2,687,834	18,437,692
Excess (deficiency) of revenues over (under) expenditures	(11,274,881)	207,572	(11,067,309)
Other financing sources (uses):			
Issuance of long term debt	10,000,000	348,838	10,348,838
Transfers in	187,537	-	187,537
Transfers out	(2,952,952)	-	(2,952,952)
Total other financing sources (uses)	7,234,585	348,838	7,583,423
Net change in fund balance	(4,040,296)	556,410	(3,483,886)
Fund balance, beginning of year	5,803,091	949,523	6,752,614
Fund balance, end of year	\$ 1,762,795	\$ 1,505,933	\$ 3,268,728

Pleasant Valley Community School District

**Schedule of Changes in Special Revenue Fund, Student Activity Accounts
Year Ended June 30, 2018**

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
Elementary and Junior High Activities:				
P.V.J.H. Athletics	\$ 4,566	\$ 1,829	\$ 3,289	\$ 3,106
P.V.J.H. Band	3,876	9,623	10,187	3,312
P.V.J.H. Vocal Music	37	6,356	5,802	591
P.V.J.H. Bookstore	174	2,015	2,032	157
P.V.J.H. Drama	6,058	4,847	3,324	7,581
P.V.J.H. Chorus	1,866	2,600	3,031	1,435
P.V.J.H. General Activities	10,395	2,625	4,483	8,537
P.V.J.H. PTA	1,487	-	336	1,151
P.V.J.H. Home Economics	1,712	-	-	1,712
P.V.J.H. Quest Program	327	-	-	327
P.V.J.H. Science	14	-	-	14
P.V.J.H. Special Olympics	197	-	-	197
P.V.J.H. Student Council	1,556	1,657	1,802	1,411
P.V.J.H. Weightlifting Club	-	2,490	2,490	-
P.V.J.H. Orchestra	2,385	4,860	6,843	402
P.V.J.H. Yearbook	4,834	13,935	8,484	10,285
Bridgeview Bookstore	625	-	-	625
Bridgeview General Activities	16,061	5,064	4,679	16,446
Bridgeview PTA Donations	-	4,846	4,846	-
Bridgeview Yearbook	-	2,148	2,148	-
Bridgeview Student Activity	9	-	-	9
Bridgeview Vocal Music	67	200	201	66
Cody Band	3	-	-	3
Cody Book Club	224	525	350	399
Cody Bookstore	295	-	-	295
Cody Candy Sales	1,663	-	881	782
Cody General Activities	27,380	4,024	16,028	15,376
Cody Jump for Heart	-	2	-	2
Cody Student Fund	429	-	-	429
Cody Vocal Music	91	200	201	90
Cody Yearbook	4,662	1,254	1,268	4,648
Cody Student Council	65	-	-	65
Cody PTA Donations	-	7,020	7,020	-
Hopewell General Activities	14,524	9,884	9,391	15,017
Hopewell PTA	269	25,942	26,194	17
Hopewell Book Club	2,402	1,811	1,463	2,750
Hopewell Vocal Music	61	200	190	71
Hopewell Yearbook	1,998	7,552	7,640	1,910
Pleasant View General Activities	20,351	9,292	9,559	20,084
Pleasant View PTA	3,675	17,007	16,649	4,033
Pleasant View Vocal Music	562	-	-	562
Pleasant View Book Club	506	2,455	2,260	701
Pleasant View Yearbook	-	9,219	9,219	-
Riverdale Book Club	2,839	775	965	2,649

(Continued)

Pleasant Valley Community School District

Schedule of Changes in Special Revenue Fund, Student Activity Accounts (Continued)
Year Ended June 30, 2018

Account	Balance Beginning of Year	Revenues	Expenditures	Balance End of Year
Elementary and Junior High Activities:				
Riverdale Bookstore	\$ 249	\$ -	\$ -	\$ 249
Riverdale Jump for Heart	42	-	-	42
Riverdale General Activities	17,862	7,487	5,764	19,585
Riverdale PTA	3,973	5,435	4,588	4,820
Riverdale Student Council	1,652	-	-	1,652
Riverdale Science	843	-	-	843
Riverdale Band	500	-	-	500
Riverdale Vocal Music	35	-	-	35
Riverdale Yearbook	3,540	4,086	2,932	4,694
District-Wide Garage Sale	1,234	-	-	1,234
District-Wide Wellness	219	-	-	219
District-Wide STEM Night	261	224	-	485
Interest	46,860	2,238	-	49,098
6th Grade Choir	1,935	328	450	1,813
High School Activities:				
General Administrative	255	2,687	1,609	1,333
Clubs and Organizations	73,538	176,832	168,014	82,356
Drama	40,074	83,567	112,413	11,228
Therapy Dog	526	-	-	526
High School Athletics	112,957	60,007	75,061	97,903
Sparkles	2,336	-	1,395	941
Music Clubs	31,207	70,164	72,104	29,267
Habitat	65	-	65	-
FCCLA	1,115	-	100	1,015
Croquet/Gentlemen's Club	126	-	-	126
PV Pals	1,072	-	147	925
PV Shining Stars	54	-	-	54
PVMCSA	145	-	-	145
Multi-occupations	72	-	-	72
First Robotics Club	3,836	5,258	6,298	2,796
Valenian	8,180	66,158	62,436	11,902
Athletic Support Groups	130,075	461,275	460,978	130,372
Interest	35,889	4,430	-	40,319
Nonspendable Prepaid Items	4,918	377	-	5,295
Intrafund Transfers	-	117,584	117,584	-
Total	\$ 663,890	\$ 995,226	\$ 1,030,025	\$ 629,091

Pleasant Valley Community School District

Schedule of Changes in Fiduciary Assets and Liabilities

Agency Fund

Year Ended June 30, 2018

	Balance Beginning of Year	Additions	Deductions	Balance End of Year
Assets				
Cash and pooled investments	\$ 36,926	\$ 72,900	\$ 92,709	\$ 17,117
Total assets	<u>\$ 36,926</u>	<u>\$ 72,900</u>	<u>\$ 92,709</u>	<u>\$ 17,117</u>
Liabilities				
Accounts payable	\$ 16,135	\$ 62,607	\$ 78,469	\$ 273
Due to other groups	20,791	76,640	80,587	16,844
Total liabilities	<u>\$ 36,926</u>	<u>\$ 139,247</u>	<u>\$ 159,056</u>	<u>\$ 17,117</u>

Pleasant Valley Community School District

Statistical Section

Contents

The statistical section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	70 - 83
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	
Revenue Capacity	84 - 88
These schedules contain trend information to help the reader assess the factors affecting the District's ability to generate its property taxes.	
Debt Capacity	89 - 94
These schedules contain trend information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future.	
Demographic and Economic Information	95 - 96
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place and to help make comparisons over time and with other governments	
Operating Information	97 - 104
These schedules contain information about the District's operations and resources to help the reader understand how the District's financial information relates to the services the District provides and the activities it performs.	

Pleasant Valley Community School District

Net Position by Component
Last Ten Fiscal Years
(accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Governmental activities:				
Net investment in				
capital assets	\$ 26,094,340	\$ 32,674,586	\$ 35,416,366	\$ 39,438,488
Restricted	9,522,712	2,604,812	2,589,500	2,059,359
Unrestricted	51,532	1,776,273	3,262,040	3,477,612
Business-type activities				
Net investment in				
capital assets	383,011	615,381	556,585	823,880
Restricted	-	-	20,500	18,333
Unrestricted	240,923	356,830	426,911	287,018
Total primary government				
net position	<u>\$ 36,292,518</u>	<u>\$ 38,027,882</u>	<u>\$ 42,271,902</u>	<u>\$ 46,104,690</u>

* Implemented GASB Statement No. 68

Source: District financial records

Fiscal Year					
2013	2014*	2015	2016	2017	2018
\$ 42,382,057	\$ 44,512,322	\$ 47,577,526	\$ 46,357,427	\$ 48,923,365	\$ 53,863,845
2,240,011	2,972,549	3,299,023	7,618,033	8,779,479	6,824,623
3,488,313	(13,208,319)	(11,059,471)	(9,745,457)	(9,497,092)	(11,162,552)
738,225	664,469	583,135	523,807	446,365	541,660
5,264	11,156	10,843	7,646	5,189	17,737
251,117	(51,931)	106,827	430,982	842,399	1,012,013
\$ 49,104,987	\$ 34,900,246	\$ 40,517,883	\$ 45,192,438	\$ 49,499,705	\$ 51,097,326

Pleasant Valley Community School District

Expenses, Program Revenues and Net (Expense) Revenue

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Expenses:				
Governmental activities:				
Regular instruction	\$ 15,987,353	\$ 16,087,293	\$ 17,377,707	\$ 18,857,785
Special instruction	3,218,555	3,345,159	3,094,014	3,375,620
Other instruction	3,093,787	3,418,467	3,082,738	3,375,699
Student services	985,822	989,167	1,002,834	1,141,984
Instructional staff services	1,354,842	1,416,350	1,241,087	1,704,451
Administration services	3,111,140	3,093,443	3,167,175	3,670,053
Operation and maintenance of plant services	2,272,373	2,219,433	2,352,852	2,495,867
Transportation services	1,364,898	1,359,966	1,476,472	1,362,563
Noninstructional	27,014	34,120	31,633	24,476
Interest on long-term debt	109	-	-	-
AEA flowthrough	1,213,051	1,378,910	1,426,627	1,380,061
Depreciation (unallocated)	1,132,464	1,161,772	1,160,776	1,567,684
Total governmental activities	33,761,408	34,504,080	35,413,915	38,956,243
Business-type activities:				
Administration Service	21,076	22,508	25,939	30,397
Operation and maintenance of plant services	39,219	21,089	39,784	47,491
Food service operations	1,336,918	1,284,572	1,278,738	1,457,413
Total business-type activities	1,397,213	1,328,169	1,344,461	1,535,301
Total primary government expenses	35,158,621	35,832,249	36,758,376	40,491,544
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction:				
Regular instruction	2,069,140	2,082,351	2,241,370	2,267,346
Special instruction	51,062	43,439	11,250	6,216
Other instruction	689,438	684,347	673,335	703,029
Support services	15,740	11,544	13,186	20,181
Operating grants and contributions	4,717,047	6,595,552	5,061,403	5,471,355
Capital grants and contributions	-	-	829,521	-
Total governmental activities	7,542,427	9,417,233	8,830,065	8,468,127
Business-type activities:				
Charges for services:				
Food service operations	1,099,687	1,083,719	1,026,912	1,147,332
Operating grants and contributions	305,758	352,830	351,094	360,182
Capital grants and contributions	-	237,385	-	249,500
Total business-type activities	1,405,445	1,673,934	1,378,006	1,757,014
Total primary government revenues	8,947,872	11,091,167	10,208,071	10,225,141
Net (expense) revenues:				
Total governmental activities	(26,218,981)	(25,086,847)	(26,583,850)	(30,488,116)
Total business-type activities	8,232	345,765	33,545	221,713
Total primary government revenues	\$ (26,210,749)	\$ (24,741,082)	\$ (26,550,305)	\$ (30,266,403)

Source: District financial records

Fiscal Year						
2013	2014	2015	2016	2017	2018	
\$ 21,218,305	\$ 23,050,148	\$ 23,184,329	\$ 25,438,186	\$ 26,703,792	\$ 29,527,917	
3,234,334	3,468,985	3,526,775	3,685,199	3,806,549	4,177,790	
3,689,360	4,306,623	4,584,831	4,426,675	4,755,087	5,033,700	
1,351,144	1,612,251	1,653,333	1,805,292	1,921,235	2,121,430	
1,516,098	1,747,264	1,837,349	3,217,189	3,487,286	3,749,838	
3,898,423	4,278,116	3,492,635	3,730,755	4,764,242	5,112,130	
3,179,559	3,986,499	3,811,382	3,683,918	3,675,409	4,032,811	
1,285,740	1,346,380	1,368,313	1,687,983	1,809,887	1,934,517	
17,808	18,959	20,941	42,924	33,911	23,618	
-	-	-	206,613	471,868	623,732	
1,476,199	1,638,338	1,744,881	1,826,774	1,901,900	2,056,304	
248,002	-	-	-	-	-	
41,114,972	45,453,563	45,224,769	49,751,508	53,331,166	58,393,787	
40,932	34,856	56,128	44,303	-	-	
45,426	60,236	60,236	32,362	-	-	
1,623,660	1,731,856	1,756,835	1,809,658	1,937,243	2,079,277	
1,710,018	1,826,948	1,873,199	1,886,323	1,937,243	2,079,277	
42,824,990	47,280,511	47,097,968	51,637,831	55,268,409	60,473,064	
2,145,168	2,169,067	2,306,499	2,383,423	2,470,094	2,553,359	
7,027	46,159	880	-	-	-	
730,854	902,136	928,278	874,540	924,568	982,706	
31,620	32,940	28,130	36,603	35,489	41,725	
5,057,477	5,529,965	6,028,330	7,726,677	6,619,414	6,999,341	
-	-	-	-	200,000	-	
7,972,146	8,680,267	9,292,117	11,021,243	10,249,565	10,577,131	
1,253,276	1,410,966	1,517,506	1,590,833	1,664,304	1,750,799	
419,960	489,200	579,884	582,902	628,697	629,562	
-	-	-	-	-	187,536	
1,673,236	1,900,166	2,097,390	2,173,735	2,293,001	2,567,897	
9,645,382	10,580,433	11,389,507	13,194,978	12,542,566	13,145,028	
(33,142,826)	(36,773,296)	(35,932,652)	(38,730,265)	(43,081,601)	(47,816,656)	
(36,782)	73,218	224,191	287,412	355,758	488,620	
\$ (33,179,608)	\$ (36,700,078)	\$ (35,708,461)	\$ (38,442,853)	\$ (42,725,843)	\$ (47,328,036)	

Pleasant Valley Community School District

General Revenues and Total Change in Net Position

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
General revenues and other changes in net position:				
Governmental activities:				
Taxes:				
Property taxes levied for:				
General purposes	\$ 11,610,216	\$ 12,338,121	\$ 13,123,314	\$ 13,418,948
Capital projects	1,326,489	1,423,702	1,448,716	1,896,509
Other specific purposes				
Statewide sales and services tax	3,120,734	2,593,647	3,024,239	3,192,316
Other taxes			650,915	690,774
Unrestricted grants	12,541,781	10,505,487	12,638,289	14,533,843
Miscellaneous	144,195	181,219	308,774	274,649
Investment earnings	206,738	70,425	53,944	89,130
Transfers			5,685	99,500
Total governmental activities	28,950,153	27,112,601	31,253,876	34,195,669
Business-type activities:				
Investment earnings	4,050	2,512	3,925	3,022
Transfers			(5,685)	(99,500)
Total business-type activities	4,050	2,512	(1,760)	(96,478)
Total primary government	28,954,203	27,115,113	31,252,116	34,099,191
Change in net position:				
Total governmental activities	3,863,306	528,751	765,760	1,052,843
Total business-type activities	349,815	36,057	219,953	(133,260)
Total primary government	\$ 4,213,121	\$ 564,808	\$ 985,713	\$ 919,583

Source: District financial records

Fiscal Year						
2013	2014	2015	2016	2017	2018	
\$ 13,912,454	\$ 14,939,441	\$ 15,411,593	\$ 15,937,619	\$ 16,859,573	\$ 17,646,598	
2,053,152	2,157,906	2,268,217	2,379,912	2,566,497	2,705,964	
598,148	629,038	661,553	690,670	743,239	589,075	
3,443,992	3,680,667	4,080,583	4,194,086	4,343,875	4,423,311	
670,829	624,049	703,284	761,249	746,648	712,855	
15,257,879	17,312,624	17,785,894	18,552,175	21,128,076	22,602,674	
194,892	325,442	344,825	509,597	513,969	460,997	
46,402	53,815	67,229	87,857	124,520	202,180	
100,000	100,000	150,000	30,025	30,953	216,856	
36,277,748	39,822,982	41,473,178	43,143,190	47,057,350	49,560,510	
2,157	2,190	2,920	4,243	6,713	13,441	
(100,000)	(100,000)	(150,000)	(30,025)	(30,953)	(216,856)	
(97,843)	(97,810)	(147,080)	(25,782)	(24,240)	(203,415)	
36,179,905	39,725,172	41,326,098	43,117,408	47,033,110	49,357,095	
(495,548)	3,890,330	2,742,913	4,412,925	3,975,749	1,743,854	
(24,625)	126,381	140,332	261,630	331,518	285,205	
\$ (520,173)	\$ 4,016,711	\$ 2,883,245	\$ 4,674,555	\$ 4,307,267	\$ 2,029,059	

Pleasant Valley Community School District

Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
General Fund:				
Nonspendable	\$ -	\$ -	\$ 107,036	\$ 80,614
Restricted	-	-	341,798	339,158
Assigned	-	-	1,076,177	1,084,957
Unassigned	-	-	824,786	1,684,542
Reserved	163,283	304,052	-	-
Unreserved	1,298,207	1,066,575	-	-
Total General Fund	1,461,490	1,370,627	2,349,797	3,189,271
All other governmental funds:				
Nonspendable	-	-	6,082	5,281
Restricted for:				
Capital projects funds	-	-	1,099,404	168,015
Debt service	-	-	-	-
Special revenue funds	-	-	1,491,566	1,552,186
Reserved	2,263	2,244	-	-
Unreserved, reported in:				
Capital projects funds	6,202,168	1,113,910	-	-
Special revenue funds	1,670,434	1,568,387	-	-
Unassigned	-	-	-	-
Total all other governmental funds	7,874,865	2,684,541	2,597,052	1,725,482
Total governmental funds	\$ 9,336,355	\$ 4,055,168	\$ 4,946,849	\$ 4,914,753

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, implemented in fiscal year 2011

Source: District financial records

Fiscal Year					
2013	2014	2015	2016	2017	2018
\$ 67,445	\$ 135,876	\$ 67,078	\$ 130,038	\$ 107,892	\$ 142,536
343,577	351,165	379,954	600,523	634,569	662,376
1,537,285	1,841,702	1,854,244	2,040,642	2,146,505	2,313,277
1,853,782	2,252,617	3,101,609	2,957,325	3,550,195	3,470,053
-	-	-	-	-	-
-	-	-	-	-	-
3,802,089	4,581,360	5,402,885	5,728,528	6,439,161	6,588,242
2,182	7,470	6,131	1,112	4,918	5,295
48,175	497,894	564,012	5,651,773	6,752,614	3,268,728
-	-	-	594,338	381,144	22,455
1,752,553	1,937,684	2,157,946	2,175,331	2,431,290	2,643,444
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
(78,676)	-	-	-	-	-
1,724,234	2,443,048	2,728,089	8,422,554	9,569,966	5,939,922
\$ 5,526,323	\$ 7,024,408	\$ 8,130,974	\$ 14,151,082	\$ 16,009,127	\$ 12,528,164

Pleasant Valley Community School District

Governmental Funds Revenues

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Local sources:				
Property taxes	\$ 12,925,800	\$ 13,754,003	\$ 14,572,030	\$ 15,300,800
Local option sales and services taxes	3,120,735	2,593,647	2,879,239	3,192,316
Other taxes	-	-	650,915	690,774
Interest income	144,195	70,425	53,944	89,130
Other revenues	3,264,266	3,228,964	3,432,820	3,438,637
Total local sources	19,454,996	19,647,039	21,588,948	22,711,657
State sources:				
Statewide sales, services and use tax	-	-	-	-
State foundation aid and state grants	\$ 16,083,230	\$ 14,308,611	\$ 16,628,060	\$ 18,487,056
Total state sources	16,083,230	14,308,611	16,628,060	18,487,056
Federal sources, federal grants	939,513	2,563,579	886,727	1,350,925
Total revenues	\$ 36,477,739	\$ 36,519,229	\$ 39,103,735	\$ 42,549,638

Source: District financial records

Fiscal Year											
2013		2014		2015		2016		2017		2018	
\$	16,551,212	\$	17,726,385	\$	18,341,363	\$	19,008,201	\$	20,915,959	\$	20,941,637
	3,443,992		-		-		-		-		-
	670,829		624,049		703,284		761,249		746,648		712,856
	46,402		53,815		67,229		87,857		124,520		229,390
	3,272,005		3,547,653		3,598,092		3,606,539		3,287,108		3,910,439
	23,984,440		21,951,902		22,709,968		23,463,846		25,074,235		25,794,322
	-		3,668,835		4,067,504		4,182,214		4,333,461		4,415,088
\$	19,450,611	\$	21,968,271	\$	22,963,212	\$	25,572,441		26,985,461		28,762,094
	19,450,611		25,637,106		27,030,716		29,754,655		31,318,922		33,177,182
	698,506		798,107		851,012		904,035		872,011		941,058
\$	44,133,557	\$	48,387,115	\$	50,591,696	\$	54,122,536	\$	57,265,168	\$	59,912,562

Pleasant Valley Community School District

Governmental Funds Expenditures and Debt Service Ratio

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Instruction	\$ 21,884,158	\$ 22,789,053	\$ 23,782,798	\$ 25,271,552
Student services	985,819	989,168	1,002,834	1,141,984
Instructional staff services	1,354,842	1,416,350	1,241,087	1,704,452
Administration services	3,048,787	3,085,309	3,200,486	3,496,290
Operation and maintenance of plant	2,358,107	2,268,270	2,348,522	2,575,190
Transportation services	1,364,899	1,359,967	1,476,472	1,362,563
Noninstructional programs	27,014	34,120	31,633	24,476
Capital outlay, facilities acquisition	2,999,831	8,479,269	3,707,280	6,914,507
AEA flowthrough	1,213,051	1,378,910	1,426,627	1,380,061
Debt service:				
Principal	17,037	-	-	1,050,000
Interest and fiscal charges	109	-	-	13,174
Total expenditures	\$ 35,253,654	\$ 41,800,416	\$ 38,217,739	\$ 44,934,249
Debt service as a percentage of noncapital expenditures	0.05%	0.00%	0.00%	2.81%

Source: District financial records

Fiscal Year											
2013		2014		2015		2016		2017		2018	
\$	26,410,652	\$	28,708,400	\$	30,012,492		32,013,799	\$	32,861,581	\$	35,464,968
	1,351,144		1,612,251		1,653,333		1,805,292		1,921,235		2,066,131
	1,516,098		1,747,264		1,837,349		3,217,189		3,487,286		3,648,615
	3,577,108		3,955,941		4,043,845		4,209,472		4,466,699		4,750,539
	2,699,383		3,198,034		3,207,753		3,040,088		3,307,042		3,491,192
	1,285,740		1,346,380		1,368,313		1,687,983		1,809,887		1,932,688
	17,808		18,959		20,941		42,924		33,911		23,618
	6,185,583		4,664,562		3,747,432		10,084,680		13,587,047		17,072,274
	1,476,199		1,638,338		1,744,881		1,826,774		1,901,900		2,056,304
	2,075,000		3,700,000		2,000,000		-		1,590,000		2,840,000
	2,774		10,268		1,798		206,613		471,868		623,732
\$	46,597,489	\$	50,600,397	\$	49,638,137	\$	58,134,814	\$	65,438,456	\$	73,970,061
	5.09%		7.98%		4.31%		0.42%		3.95%		5.71%

Pleasant Valley Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2009	2010	2011	2012
Excess (deficiency) of revenues over (under) expenditures	\$ 1,224,085	\$ (5,281,187)	\$ 885,996	\$ (2,384,611)
Other financing sources (uses):				
Sale of capital assets	15,000	-	-	3,015
Issuance of debt	-	-	-	2,250,000
Transfers in	717,146	150,000	37,385	1,151,042
Transfers out	(717,146)	(150,000)	(31,700)	(1,051,542)
Total other financing sources (uses)	15,000	-	5,685	2,352,515
Net change in fund balances	\$ 1,239,085	\$ (5,281,187)	\$ 891,681	\$ (32,096)

Source: District financial records

Fiscal Year					
2013	2014	2015	2016	2017	2018
\$ (2,463,932)	\$ (2,213,282)	\$ 953,559	\$ (4,012,278)	\$ (8,173,288)	\$ (14,057,499)
502	11,367	3,007	2,361	380	10,842
2,975,000	3,600,000	-	10,000,000	10,000,000	10,348,838
2,177,774	3,809,488	2,151,798	716,187	1,736,826	3,182,554
(2,077,774)	(3,709,488)	(2,001,798)	(686,162)	(1,705,873)	(2,965,698)
3,075,502	3,711,367	153,007	10,032,386	10,031,333	10,576,536
\$ 611,570	\$ 1,498,085	\$ 1,106,566	\$ 6,020,108	\$ 1,858,045	\$ (3,480,963)

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Pleasant Valley Community School District

**Assessed Value and Actual Value of Taxable Property
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Actual Value			Less Exemptions	Total Taxable Value - Actual	Total Direct Rate (a)
	Residential Property	Commercial Property	Other Property			
2009	\$ 631,671,878	\$ 204,699,329	\$ 42,520,257	\$ 2,256,071	\$ 876,635,393	13.98720
2010	683,824,283	208,580,064	43,248,879	2,294,481	933,358,745	13.99319
2011	728,566,887	210,360,595	42,632,570	2,313,348	979,246,704	14.74116
2012	772,720,063	214,183,141	42,063,147	2,246,015	1,026,720,336	14.73830
2013	855,055,343	227,252,979	41,356,824	2,240,917	1,121,424,229	14.64092
2014	918,634,549	217,741,000	42,290,592	2,202,204	1,176,463,937	14.74093
2015	976,952,195	229,658,580	34,879,246	2,198,321	1,239,291,700	14.49409
2016	1,043,403,312	216,939,941	33,507,263	2,316,852	1,291,533,664	14.34409
2017	1,133,691,222	225,859,477	32,387,728	2,285,368	1,389,653,059	14.14425
2018	1,208,406,161	223,487,266	32,781,704	2,252,032	1,462,423,099	13.95589

Source: Iowa Department of Management and Scott County Auditor.

Notes: Property is assessed on a calendar year basis. The assessments finalized as of January 1 of each year are applied to the second fiscal year following the tax assessment year.

(a) Per \$1,000 of assessed value.

Pleasant Valley Community School District

Direct and Overlapping Property Tax Rates

Last Ten Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

Fiscal Year	District Direct Rates			Total
	General Purposes	Capital Purposes	Debt Service	
2009	12.64720	1.34000	-	13.98720
2010	12.65319	1.34000	-	13.99319
2011	13.40116	1.34000	-	14.74116
2012	13.06829	1.67000	-	14.73829
2013	12.97092	1.67000	-	14.64092
2014	13.07093	1.67000	-	14.74093
2015	12.82409	1.67000	-	14.49409
2016	12.67409	1.67000	-	14.34409
2017	12.47425	1.67000	-	14.14425
2018	12.28589	1.67000	-	13.95589

Source: Iowa Department of Management and Scott County Auditor.

Overlapping Rates					
Scott County	College Area IX	City of Bettendorf	City of Leclaire	City of Panarama Park	City of Riverdale
5.33791	0.60635	12.85000	14.69998	5.64940	2.70130
5.47607	0.87714	12.85000	16.08173	5.55117	2.70103
6.37607	0.92444	12.60000	16.00434	5.56196	3.37602
6.37759	1.01724	12.60000	15.07379	5.51713	7.00244
6.30000	0.91511	12.55000	14.69999	5.47320	10.55647
6.23534	0.92043	12.55000	14.47264	5.26743	10.55525
6.13204	0.92782	12.55000	14.47264	5.26550	12.21629
6.00377	0.96863	12.55000	14.29804	5.79870	11.90048
5.82228	1.00909	12.55000	14.29798	5.80468	11.99199
5.82167	1.03000	12.50000	13.92602	5.80424	11.99735

Pleasant Valley Community School District

**Principal Property Tax Payers
Current Year and Nine Years Ago
(Unaudited)**

Name of Taxpayer	2018			2009		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Mid-American Energy	\$ 49,514,017	1	30.12%			
Arconic Inc.	38,054,469	2	23.15%	\$ 39,879,685		35.91%
Continental 203 Fund LLC	18,222,039	3	11.08%			
First Equity Management L C	10,067,364	4	6.12%	8,532,423		7.68%
Chateau Knoll LLC	9,892,741	5	6.02%	8,114,181		7.31%
Northern Border Pipeline Company	9,560,933	6	5.82%	12,147,102		10.94%
Olympic Steel Iowa Inc	8,674,110	7	5.28%	6,333,476		5.70%
URS Real Estate LP	7,283,295	8	4.43%	7,871,724		7.09%
Bettendorf Regency Apartments	7,051,275	9	4.29%	8,677,901		7.82%
Sodarock Properties LLC	6,073,969	10	3.69%			
Genventures INC				6,916,896		6.23%
Iowa American Water Company				6,498,601		5.85%
Lindquist Real Estate Partners				6,069,462		5.47%
Total	<u>\$ 164,394,212</u>		<u>11.24%</u>	<u>\$ 111,041,451</u>		<u>12.67%</u>
Total Assessed Value	<u>\$ 1,462,423,099</u>			<u>\$ 876,635,393</u>		

Source: Scott County Auditor

Pleasant Valley Community School District

Property Tax Levies and Collections

Last Ten Fiscal Years

(Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year		Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years	Total Collections to Date	
			Amount	Percentage of Levy		Amount	Percentage of Levy
2009	\$	13,005,582	\$ 12,922,868	99.36%	\$ 10,859	\$ 12,933,727	99.45%
2010		13,831,130	13,749,585	99.41%	12,238	13,761,824	99.50%
2011		15,221,035	15,219,689	99.99%	22,211	15,241,900	100.14%
2012		16,003,277	16,001,235	99.99%	12,596	16,013,830	100.07%
2013		17,279,461	17,252,573	99.84%	107	17,252,680	99.85%
2014		18,351,942	18,347,585	99.98%	9,122	18,356,707	100.03%
2015		19,075,701	19,235,026	100.84%	5,558	19,240,584	100.86%
2016		19,743,499	20,115,797	101.89%	7,003	20,122,800	101.92%
2017		20,900,335	21,203,769	101.45%	8,667	21,212,436	101.49%
2018		21,622,918	21,930,726	101.42%	7,969	21,938,695	101.46%

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Note: N/A = not available.

Pleasant Valley Community School District

**Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	General Obligation Note	Capital Leases	Revenue Bonds	Total Primary Government	Percentage of Personal Income	Per Capita
2009	\$ -	\$ -	\$ -	\$ -	-	\$ -
2010	-	-	-	-	-	-
2011	-	-	-	-	-	-
2012	1,200,000	-	-	1,200,000	0.2%	59
2013	2,100,000	-	-	2,100,000	0.3%	99
2014	2,000,000	-	-	2,000,000	0.3%	100
2015	-	-	-	-	-	-
2016	-	-	10,000,000	10,000,000	N/A	N/A
2017	-	-	18,410,000	18,410,000	N/A	N/A
2018	-	348,838	25,570,000	25,918,838	N/A	N/A

Source: District financial records

N/A = not available.

Pleasant Valley Community School District

**Ratio of Net Bonded Debt to Assessed Values
Last Ten Fiscal Years
(Unaudited)**

Year of Collection	Estimated Actual Value of Taxable Property	Total Primary Government Outstanding Debt	Net Bonded Debt	Amount Restricted for Repayment of Outstanding Debt	Ratio of Net Bonded Debt to Assessed Value	Net Bonded Debt Per Capita
2008-09	\$ 995,107,044	\$ -	\$ -	\$ -	-	\$ -
2009-10	1,067,587,960	-	-	-	-	-
2010-11	1,124,512,188	-	-	-	-	-
2011-12	1,181,934,837	1,200,000	-	-	-	-
2012-13	1,277,899,434	2,100,000	-	-	-	-
2013-14	1,338,308,620	2,000,000	-	-	-	-
2014-15	1,413,107,660	-	-	-	-	-
2015-16	1,483,389,877	10,000,000	-	594,338	-	-
2016-17	1,595,277,188	18,410,000	-	381,144	-	-
2017-18	1,675,799,422	25,918,838	-	22,455	-	-

Source: Iowa Department of Management, Scott County Auditor and School District financial records.

Notes: Details of the District's outstanding debt can be found in Note 5 in the notes to the financial statements

Pleasant Valley Community School District

Legal Debt Margin Information

Last Ten Fiscal Years

(Unaudited)

	2009	2010	2011	2012
Legal Debt Margin Calculation				
Assessed value	\$ 995,107,044	\$ 1,067,587,960	\$ 1,124,512,188	\$ 1,181,934,837
Debt limit (5% of assessed value)	49,755,352	53,379,398	56,225,609	59,096,742
Debt applicable to limit	-	-	-	2,100,000
Legal debt margin	\$ 49,755,352	\$ 53,379,398	\$ 56,225,609	\$ 56,996,742
Total net debt applicable to the limit as a percentage of debt limit	0.00%	0.00%	0.00%	3.55%

Source: Iowa Department of Management, Scott County Auditor's Office and School District financial records.

Legal Debt Margin Calculation for Fiscal Year 2018					
Assessed value				\$	<u>1,675,799,422</u>
Debt limit (5% of assessed value)				\$	83,789,971
Debt applicable to limit					<u>25,918,838</u>
Legal debt margin				\$	<u>57,871,133</u>
2013	2014	2015	2016	2017	2018
\$ 1,227,899,434	\$ 1,338,308,620	\$ 1,413,107,660	\$ 1,483,389,877	\$ 1,595,277,188	\$ 1,675,799,422
61,394,972	66,915,431	70,655,383	74,169,494	79,763,859	83,789,971
2,000,000	-	-	10,000,000	18,410,000	25,918,838
\$ 59,394,972	\$ 66,915,431	\$ 70,655,383	\$ 64,169,494	\$ 61,353,859	\$ 57,871,133
3.26%	0.00%	0.00%	13.48%	23.08%	30.93%

Pleasant Valley Community School District

Direct and Overlapping Governmental Activities Debt As of June 30, 2018 (Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
Scott County	\$ 34,086,612	19.40%	\$ 6,612,532
Eastern Iowa Community College	42,990,000	11.53%	4,956,294
City of Bettendorf	118,700,000	49.21%	58,416,471
City of LeClaire	8,085,384	100.00%	8,085,384
City of Panorama Park	-		
City of Riverdale	960,000	99.57%	955,848
Subtotal, overlapping debt			79,026,529
District direct debt			25,918,838
Total direct and overlapping debt			\$ 104,945,367

Source: Scott County Auditor.

Notes:

Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This statistical page estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that, when considering the District's ability to issue and repay long-term debt, the entire debt burden borne by the residents and business should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value. (Calculated by dividing the amount of the value applicable to the District by the total value for that taxing authority; 2017 assessed values are used.)

Pleasant Valley Community School District

**Pledged Revenue Coverage
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Revenue Bonds				Coverage
	Revenue	Debt Service			
		Principal	Interest		
2009	NA	NA	NA	NA	
2010	NA	NA	NA	NA	
2011	NA	NA	NA	NA	
2012	NA	NA	NA	NA	
2013	NA	NA	NA	NA	
2014	NA	NA	NA	NA	
2015	NA	NA	NA	NA	
2016	\$ 4,182,214	\$ -	\$ 92,956	44.99%	
2017	4,333,461	1,590,000	329,694	2.26	
2018	4,415,088	2,840,000	485,652	1.33	

Source: District financial records

Notes: Details regarding the District's outstanding debt can be found in Note 5 of the notes to the financial statements.

These bonds are backed by a one-cent statewide sales, service and use tax.

Pleasant Valley Community School District

**Demographic and Economic Statistics
Last Ten Calendar Years
(Unaudited)**

Calendar Year	Population (a)	Personal Income (b) (Thousands of Dollars)	Per Capita Personal Income	Scott County Area Unemployment Rate (c) *
2009	19,491	\$ 542,146,328	\$ 27,815	7.1
2010	19,928	574,208,914	28,814	6.7
2011	19,823	637,107,854	32,140	6.2
2012	20,478	696,396,280	34,007	5.8
2013	21,161	686,181,820	32,427	5.7
2014	20,099	727,705,092	36,206	5.3
2015	20,977	768,940,606	36,656	4.8
2016	21,288	771,396,005	36,236	4.7
2017	21,438	N/A	N/A	3.8
2018	N/A	N/A	N/A	3.1

Source:

(a) U.S. Census Bureau

(b) Iowa Department of Revenue

(c) Iowa Workforce Development

Notes: N/A = not available.

* Based on a ten-month period, January through October.

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Pleasant Valley Community School District

**Full-Time Equivalent District Employees By Type
Last Ten Fiscal Years
(Unaudited)**

	Full-Time Equivalent Employees as of June 30			
	2009	2010	2011	2012
Supervisory:				
Superintendent	1.0	1.0	1.0	1.0
Principals	6.0	6.0	6.0	7.0
Assistant principals	5.0	5.0	5.0	5.0
District secretary	0.4	0.4	0.4	0.4
Business Manager	1.0	1.0	1.0	1.0
Other officials/administrators	2.0	2.0	1.0	1.0
Total supervisory	15.4	15.4	14.4	15.4
Instruction:				
Classroom teachers	176.9	179.9	181.0	199.5
Special education teachers	27.2	28.5	27.5	30.0
Special programs	16.2	15.3	14.2	16.2
Vocational teachers	8.8	9.3	7.5	8.2
Teacher aides	52.8	52.2	51.2	54.0
Instructional technology technicians	1.3	2.3	2.3	2.3
Total instruction	283.1	287.5	283.7	310.1
Student services:				
Social workers	1.0	1.0	1.0	1.0
Counselors	9.0	9.0	9.0	9.5
Library/media specialists	5.0	5.0	5.0	5.5
Nurses	4.1	4.1	4.1	4.6
Total student services	19.1	19.1	19.1	20.6
Support and administration:				
Other support services	2.0	1.0	-	-
Office/clerical personnel	27.2	27.0	27.0	29.3
Other professional employees	1.0	1.0	1.0	1.0
Technology specialist	2.0	2.0	2.0	2.0
Crafts and trades personnel	3.0	3.0	3.0	3.0
Laborers	1.0	1.0	1.0	1.0
Service workers	36.6	37.0	36.6	42.0
Operative personnel	1.6	1.6	1.6	1.6
Total support and administration	74.5	73.7	72.2	79.9
Total	392.0	395.7	389.4	425.9

Source: District financial records

Full-Time Equivalent Employees as of June 30						Percentage Change 2009 - 2018
2013	2014	2015	2016	2017	2018	
1.0	1.0	1.0	1.0	1.0	1.0	0%
7.0	7.0	7.0	7.0	7.0	7.0	17%
5.0	5.0	5.0	5.0	5.0	5.0	0%
0.4	0.4	0.4	-	-		-100%
1.0	1.0	1.0	1.0	1.0	1.0	0%
1.0	2.0	2.0	3.0	3.0	3.0	50%
15.4	16.4	16.4	17.0	17.0	17.0	11%
201.6	215.1	217.8	233.4	239.5	244.1	38%
28.3	28.1	27.3	28.6	29.0	29.3	8%
19.8	22.3	29.2	19.5	20.5	21.6	33%
8.0	8.0	6.8	7.6	8.5	9.0	2%
55.8	58.8	62.8	60.7	66.5	68.7	30%
2.3	3.3	3.2	3.3	3.0	3.0	140%
315.7	335.6	347.2	352.9	367.0	375.7	33%
1.0	1.0	1.0	1.0	1.0	1.0	0%
12.2	12.6	12.6	14.0	13.0	14.0	56%
5.5	5.5	5.5	6.0	7.0	7.0	40%
5.0	5.6	5.6	6.6	6.6	6.9	68%
23.6	24.7	24.7	27.6	27.6	28.9	51%
-	-	-	10.0	10.0	12.0	100%
27.5	28.3	28.5	28.4	31.3	32.8	21%
1.0	1.5	1.5	2.5	3.5	3.5	250%
2.0	2.0	2.0	2.0	3.0	3.0	50%
3.0	4.0	3.5	4.0	3.0	4.0	33%
1.0	1.0	1.5	2.0	2.0	2.0	100%
43.1	44.1	43.8	46.0	44.1	45.9	25%
1.7	1.7	1.7	1.7	1.7	1.2	-29%
79.3	82.6	82.5	96.5	98.6	104.3	40%
434.0	459.2	470.7	494.1	510.2	525.9	34%

Pleasant Valley Community School District

Operating Statistics Last Ten Fiscal Years (Unaudited)

Fiscal Year	Certified Enrollment	Operating Expenditures	Cost Per Pupil	Percentage Change
2009	3,589	\$ 30,419,133	\$ 8,477	5.84%
2010	3,609	31,261,592	8,662	2.19%
2011	3,784	32,238,611	8,519	-1.65%
2012	3,960	34,974,438	8,832	3.67%
2013	4,230	36,437,868	8,614	-2.47%
2014	4,289	39,900,129	9,304	8.01%
2015	4,386	41,559,208	9,475	1.84%
2016	4,532	45,391,590	10,016	5.71%
2017	4,746	47,415,560	9,991	-0.26%
2018	4,922	50,735,977	10,308	3.18%

Source: Nonfinancial information from District records. District financial records.

Notes: N/A = not available.

Governmental Expenditures		Cost Per Pupil	Percentage Change	Teaching Staff	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced Price Meals
\$	33,761,408	\$ 9,408	8.20%	248	6.91%	11.00%
	34,504,080	9,561	1.62%	250	6.93%	13.00%
	35,413,915	9,358	-2.11%	246	6.50%	12.00%
	38,956,243	9,838	5.12%	280	7.07%	11.00%
	41,114,972	9,720	-1.20%	295	6.97%	12.00%
	45,453,563	10,599	9.04%	303	7.07%	11.00%
	45,224,769	10,311	-2.72%	303	6.91%	11.00%
	58,134,814	12,828	24.41%	321	7.08%	12.00%
	65,438,456	13,788	7.48%	320	6.74%	12.00%
	73,970,061	15,028	8.99%	326	6.62%	11.00%

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Pleasant Valley Community School District

**Principal Employers
Current Year and Nine Years Ago
(Unaudited)**

Employer	2018			2009		
	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
<u>Scott County</u>						
Genesis Health System	2,976	1	3.21 %	2,000	1	5.42 %
Davenport Community Schools	2,500	2	2.70			
Arconic	2,000	3	2.16			
John Deere Davenport Works	2,000	4	2.16	1,800	2	2.49
HyVee Scott County Locations	1,975	5	2.13	450	10	0.49
Kraft/Oscar Mayer Foods Corp.	1,600	6	1.73	1,500	3	1.82
Tri City Engrng & Integration	1,200	7	1.29			
Rhythm City Casion Resort	1,000	8	1.08	750	8	0.62
City of Davenport	800	9	0.86			
Cobham Mission Equipment	800	10	0.86			
United Parcel Service				500	9	0.50
APAC Customer Service				900	7	0.65
Isle of Capri				923	6	1.00
First Med Clinic				1,090	5	1.13
MidAmerican Energy Company				1,200	4	1.16
Total for Scott County	16,851		18.18 %	11,113		15.28 %

Source: Bi-State Regional Commission and Iowa Workforce Development Website / Labor Force

Pleasant Valley Community School District

School Building Information Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2009	2010	2011	2012
Pleasant View				
Square feet	78,343	78,343	78,343	78,343
Capacity*	850	850	850	850
Enrollment	634	641	687	611
Playgrounds	2	2	2	2
Hopewell				
Square feet	N/A	59,812	59,812	64,180
Capacity*	N/A	475	475	900
Enrollment	N/A	-	-	297
Playgrounds	N/A	1	1	1
Cody				
Square feet	45,090	45,090	45,090	45,090
Capacity*	550	550	550	550
Enrollment	320	324	368	307
Playgrounds	1	1	1	1
Bridgeview				
Square feet	47,980	47,980	47,980	47,980
Capacity*	450	450	450	450
Enrollment	300	335	344	328
Playgrounds	2	2	2	2
Riverdale Heights				
Square feet	84,195	84,195	84,195	84,195
Capacity*	800	800	800	800
Enrollment	643	642	640	646
Playgrounds	2	2	2	2
Jr. High				
Square feet	97,950	97,950	97,950	112,405
Capacity*	850	850	850	1,050
Enrollment	576	591	612	608
Playgrounds	-	-	-	-
High School				
Square feet	247,564	247,564	247,564	258,304
Capacity*	1,800	1,800	1,800	1,975
Enrollment	1,136	1,098	1,178	1,221
Playgrounds	-	-	-	-

Source: District records.

Notes: * Capacity calculation is number of possible classrooms times maximum of 25 students each

Fiscal Year					
2013	2014	2015	2016	2017	2018
78,343	78,343	80,913	80,913	80,913	81,513
850	850	850	850	850	1,150
653	628	638	632	632	651
2	2	2	2	2	2
64,180	64,180	64,180	64,180	64,180	64,180
900	900	900	900	900	900
323	396	468	545	545	650
1	1	1	1	1	1
45,090	45,090	45,090	54,709	54,709	60,897
550	550	550	625	625	750
311	317	315	320	320	361
1	1	1	1	1	1
47,980	47,980	47,980	54,654	54,654	54,654
450	450	450	575	575	675
343	347	342	383	383	391
2	2	2	2	2	2
84,195	84,195	84,195	84,195	84,195	84,195
800	800	800	800	800	1,050
661	620	642	634	634	636
2	2	2	2	2	2
112,405	112,405	112,405	137,937	137,937	141,777
1,050	1,050	1,050	1,300	1,300	1,350
661	701	672	668	668	745
-	-	-	-	-	-
258,304	258,304	258,304	258,304	258,304	353,711
1,975	1,975	1,975	1,975	1,975	2,400
1,250	1,264	1,307	1,338	1,338	1,442
-	-	-	-	-	-

Pleasant Valley Community School District

**Average Salary by Education Level
Last Ten Fiscal Years
(Unaudited)**

Education Level	Fiscal Year			
	2009	2010	2011	2012
BA				
Total FTE	41.00	34.33	39.43	53.93
Average salary	34,645.00	36,120.00	36,177.00	36,000.00
BA + 10				
Total FTE	20.00	12.00	16.00	20.00
Average salary	42,028.00	42,824.00	43,341.00	43,801.00
BA +20				
Total FTE	38.00	42.00	42.00	39.00
Average salary	48,473.00	48,916.00	49,173.00	50,143.00
MA				
Total FTE	48.92	49.92	52.08	55.50
Average salary	48,991.00	49,759.00	49,753.00	49,884.00
MA + 10				
Total FTE	24.00	32.00	40.00	40.00
Average salary	54,304.00	54,648.00	55,299.00	56,442.00
MA + 20				
Total FTE	16.00	13.00	16.83	20.00
Average salary	56,903.00	58,383.00	59,756.00	59,198.00
MA +30				
Total FTE	30.83	34.83	42.00	44.83
Average salary	61,172.00	61,780.00	62,026.00	62,659.00
Grand total FTE	218.75	218.08	248.34	273.26
Total average salary	48,453.89	50,219.30	50,733.17	50,473.40

Source: District personnel records.

Notes:

Full-time instructional employees of the District are employed for all 192 work days, at eight hours per day or 1,536 hours per year. This schedule includes the local instructional salary schedule only. Not included are state appropriations to increase salaries, i.e., Teacher Quality or Phase II Funds.

Fiscal Year					
2013	2014	2015	2016	2017	2018
50.97 37,278.00	58.90 39,158.00	61.90 39,121.00	65.83 39,720.00	66.50 40,822.00	62.00 41,297.00
15.00 46,213.00	24.00 45,412.00	27.00 45,400.00	27.00 45,918.00	21.33 48,135.00	21.33 48,655.00
43.50 49,470.00	37.20 51,761.00	34.83 53,297.00	40.00 52,435.00	41.00 53,220.00	44.00 53,865.00
57.00 50,094.00	57.70 51,241.00	57.70 51,279.00	62.79 52,252.00	72.88 53,461.00	76.69 54,254.00
39.00 57,774.00	40.00 59,974.00	39.00 59,736.00	42.00 60,762.00	38.00 62,138.00	35.00 62,238.00
27.00 60,662.00	27.00 63,459.00	26.00 64,688.00	25.00 65,390.00	30.00 66,154.00	30.00 67,941.00
47.83 64,324.00	52.43 65,592.00	59.35 65,028.00	62.00 66,649.00	66.00 67,734.00	74.42 69,617.00
280.30 51,973.90	297.23 53,257.90	305.78 53,416.31	324.62 54,068.90	335.71 52,283.52	343.44 56,855.48

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Pleasant Valley Community School District

**Schedule of Expenditures of Federal Awards
Year Ended June 30, 2018**

Federal Grantor/Pass-Through Grantor/ Program Title or Cluster Title	Federal CFDA Number	Pass-Through Entity Identifying Number	Passed Through to Subrecipients	Total Federal Expenditures
Indirect:				
U.S. Department of Agriculture:				
Iowa Department of Education:				
Child Nutrition Cluster Programs:				
School Breakfast Program	10.553	FY18 4552	\$ -	\$ 29,988
National School Lunch Program	10.555	FY18 4553	-	375,692
Commodities -DOD (Noncash)	10.555	FY18	-	97,998
Commodities (Noncash)	10.555	FY18	-	110,925
Total Child Nutrition Cluster, U.S. Department of Agriculture			-	614,603
U.S. Department of Education:				
Iowa Department of Education:				
Title I Grants to Local Educational Agencies	84.010	FY18 4501	-	153,388
Special Education- State Personnel Development Grants	84.323	FY18 4526	-	25,131
English Language Acquisition State Grants	84.365	FY18 4644	-	3,322 (1)
Title IIA Federal Teacher Quality Program	84.367	FY18 4643	-	49,197
Grants for State Assessments and Related Activities Title VI	84.369	FY18 4648	-	1,296
Mississippi Bend Area Education Agency:				
Special Education - Grants to States IDEA, Part B	84.027	FY18 4521	-	199,445
Career and Technical Education - Basic Grants to States	84.048	FY18 4531	-	21,317
English Language Acquisition State Grants	84.365	FY18 4644	-	1,180 (1)
Total U.S. Department of Education			-	454,276
Total Expenditures of Federal Awards			\$ -	\$ 1,068,879

(1) Total English Language Acquisition State Grants
CFDA 84.365 \$4,502.

See notes to schedule of expenditures of federal awards.

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Pleasant Valley Community School District

Notes to the Schedule of Expenditures of Federal Awards Year Ended June 30, 2018

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "schedule") includes the federal grant activity of Pleasant Valley Community School District under programs of the federal government for the year ended June 30, 2018. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of Pleasant Valley Community School District, it is not intended to and does not present the financial position, changes in net position or cash flows of Pleasant Valley Community School District.

Note 2. Summary of Significant Accounting Policies

Expenditures reported on the schedule are reported on the modified accrual or accrual basis of accounting. Such expenditures are recognized following the cost principles in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when it is both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

Note 3. Indirect Cost Rate

The District has elected not to use the 10-percent de minimus indirect cost rate allowed under the Uniform Guidance.

Pleasant Valley Community School District

**Summary Schedule of Prior Audit Findings
Year Ended June 30, 2018**

Findings	Status	Corrective Action Plan or Other Explanation
None		



**Independent Auditor's Report on Internal Control Over
Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in
Accordance With Government Auditing Standards**

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Pleasant Valley Community School District (the District) as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated December 13, 2018.

Our report included an emphasis of matter paragraph for the implementation of Governmental Accounting Standards Board Statement No. 75.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Pleasant Valley Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted a certain immaterial instance of non-compliance or other matters which is described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2018 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

The District's response to the finding identified in our audit is described in the accompanying Schedule of Findings and Questioned Costs. The District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
December 13, 2018



**Independent Auditor's Report on Compliance For Each
Major Federal Program and Report on Internal Control
Over Compliance Required by the Uniform Guidance**

To the Board of Education
Pleasant Valley Community School District
Bettendorf, Iowa

Report on Compliance for Each Major Federal Program

We have audited Pleasant Valley Community School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2018. The District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America, the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination on the District's compliance.

Opinion on Each Major Federal Program

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2018.

Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect and correct noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or combination of deficiencies, in internal control over compliance such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented or detected and corrected on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Bohnsack & Frommelt LLP

Moline, Illinois
December 13, 2018

Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2018**

I. Summary of the Independent Auditor's Results

Financial Statements

Unmodified

Type of auditor's report issued:

Internal control over financial reporting:

- Material weakness(es) identified?
- Significant deficiency identified?
- Noncompliance material to financial statements noted?

☐ Yes ☒ No
☐ Yes ☒ None Reported
☐ Yes ☒ No

Federal Awards

Internal control over major programs:

- Material weakness(es) identified?
- Significant deficiency identified?

☐ Yes ☒ No
☐ Yes ☒ None Reported

Type of auditor's report issued on compliance for major programs:

Unmodified

- Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?

☐ Yes ☒ No

Identification of major programs:

<u>CFDA Number</u>	<u>Name of Federal Program or Cluster</u>
Child Nutrition Cluster:	
10.553	School Breakfast Program
10.555	National School Lunch Program

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?

☒ Yes ☐ No

(Continued)

Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2018**

Part II: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part III: Findings and Questioned Costs for Federal Awards

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Part IV: Other Findings Related to Statutory Reporting

IV-A-18

Certified Budget – Expenditures for the year ended June 30, 2018 did not exceed the amounts budgeted at year-end.

IV-B-18

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979.

IV-C-18

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-18

Business Transactions – No business transactions between the District and District officials or employees were noted.

IV-E-18

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

IV-F-18

Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

IV-G-18

Certified Enrollment –

Finding: The District identified variances in certified enrollment certified to the state in October 2017.

Recommendation: We recommend the District review certified enrollment data for accuracy prior to submission to the state.

Response and Corrective Action: The District will continue to review data prior to submission.

Conclusion: Response accepted.

Pleasant Valley Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2018**

(Continued)

IV-H-18

Supplementary Weighting – No variances regarding the basic enrollment data certified to the Iowa Department of Education were noted.

IV-I-18

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-J-18

Certified Annual Report – The Certified Annual Report was certified to the Iowa Department of Education timely and we noted no significant deficiencies in the amounts reported.

IV-K-18

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

IV-L-18

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2018, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

Beginning balance	\$ 5,803,091
Revenue / transfers in:	
Statewide sales and services tax revenue	4,415,088
Interest and other	59,889
Transfers in	187,537
Issuance of long-term debt	10,000,000
Expenditures/transfers out:	
Transfers out	2,952,952
School infrastructure:	
Buildings	15,749,858
Ending balance	<u>\$ 1,762,795</u>

For the year ended June 30, 2018, the District reduced the debt service tax levy by \$2.63 per \$1,000 of taxable valuation as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

	Per \$1,000 of Taxable Valuation	Property Tax Dollars
Debt service levy	\$ 2.63000	\$ 4,415,088

Pleasant Valley Community School District

Corrective Action Plan

Year Ended June 30, 2018

Current Number	Comment	Corrective Action Plan	Anticipated Date of Completion	Contact Person
Statutory Reporting:				
IV-G-18	Errors in Certified Enrollment were identified.	See IV-G-18	2019	Mike Clingsmith